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Amending Acts

1. Act to Amend Some Nepal Acts to Make Them Consistent with the Constitution of Nepal, 2075 (2018) 2075.11.19
2. Act to Amend Some Nepal Acts Relating to the Civil Code, 2075 (2018) 2076.01.02
3. Act to Amend Some Nepal Acts Relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081 (2024) 2081.12.18

Act Number 1 of the year 2074 (2017)

An Act Made to Amend and Consolidate Laws Relating to Banks and Financial Institutions

Preamble: Whereas, it is expedient to amend and consolidate the prevailing laws relating to the establishment, operation, management, regulation, inspection and supervision of banks and financial institutions and make them time-relevant, in order to enhance public confidence in the overall banking and financial system of the country, to protect and promote the rights and interests of depositors, to make the national economy strong and robust by providing quality and reliable banking and financial services through healthy competition among banks and financial institutions, and to maintain financial stability;

Now, therefore, the Legislature-Parliament, pursuant to sub-article (1) of Article 296 of the Constitution of Nepal, has enacted this Act. Chapter 1

Preliminary

1. Short Title, Extent and Commencement: (1) This Act may be called the "Bank and Financial Institution Act, 2073".

(2) This Act shall be applicable throughout the State of Nepal and shall also apply to branches or contact offices opened outside Nepal by a bank or financial institution established in Nepal.

(3) This Act shall come into force immediately. 2.

Definitions: Unless the subject or context otherwise requires, in this Act,- (a) "Court" means the Commercial Bench of the Court designated by the Government of Nepal, with the consent of the Supreme Court, by publishing a notice in the Nepal Gazette. (b) "Chairperson" means the Chairperson of the Board of Directors, and this term also includes the Executive Chairperson. (c) "License" means a license issued by the Nepal Rastra Bank in the name of a bank or financial institution to carry out banking and financial transactions pursuant to this Act. (d) "Licensed Transaction" means banking and financial transactions carried out by a bank or financial institution after obtaining a license pursuant to this Act. (e) "Licensed Institution" means a bank or financial institution that has obtained a license to carry out banking and financial transactions pursuant to this Act. (f) "Significant Ownership" means a situation where a person or institution, either alone or jointly with another person or institution, holds shares amounting to two percent or more of the paid-up capital of a bank or financial institution, or by reason of share ownership can influence the management of the bank or financial institution. (g) "Borrower" means a person, firm, company or institution that takes a loan from a bank or financial institution. (h) "Loan" means the amount disbursed, direct or indirect guarantee, interest or other charges on a loan, refinance, restructuring and renewal of a loan, guarantee issued for loan repayment, and other commitments provided by a bank or financial institution to a person, firm, company, institution or other commercial enterprise on the condition of repaying principal, interest or other charges within a specified period, and this term also includes any kind of debt designated by the Nepal Rastra Bank by publishing a public notice. (i) "Chief Executive" means the Chief Executive Officer responsible for the operation of a bank or financial institution, and this term also includes the Executive Chairperson and Managing Director acting as the chief executive of the bank or financial institution. (j) "Office" means the registered and central office of a bank or financial institution, and this term also includes branch offices of a bank or financial institution situated in Nepal and outside Nepal, and branch offices of a foreign bank or financial institution situated in Nepal. (k) "Net Worth" means the amount arrived at after deducting external liabilities from the total assets appearing in the balance sheet of a bank or financial institution. (l) "Non-Executive Director" means a director other than an executive director who performs the daily functions of a bank or financial institution. (m) "Current Account" means an account in which the record of amounts deposited with a bank or financial institution that can be withdrawn at any time the customer desires is maintained. (n) "Paid-up Capital" means the portion of the issued capital of a bank or financial institution that has been paid up by the shareholders. (o) "Risk-Weighted Asset" means the total asset calculated by multiplying the amount under each on-balance sheet and off-balance sheet item of a bank or financial institution by the risk weight specified in the format prescribed by the Nepal Rastra Bank. (p) "Liquid Asset" means the cash balance, balance in current account, balance maintained with the Nepal Rastra Bank, and assets of a bank or financial institution designated by the Nepal Rastra Bank from time to time as liquid assets. (q) "Prescribed" or "As Prescribed" means as prescribed in the rules or regulations made under this Act. (r) "Securities" means shares, stocks, bonds, debentures, debenture stocks or certificates relating to collective investment schemes issued by a bank or financial institution or a corporate body, or certificates, savings certificates or bonds issued by the Government of Nepal or issued by a corporate body on the guarantee of the Government of Nepal, and this term also includes other securities designated by the Securities Board as being tradable or transferable through the securities market, or options to purchase, sell or exchange such securities. (s) "Articles of Association" means the articles of association of a bank or financial institution made pursuant to the prevailing company law. (t) "Deposit" means an amount deposited with a bank or financial institution through a customer in a current, savings or fixed account, with or without interest, and this term also includes amounts accepted by a bank or financial institution through various banking and financial instruments as determined by the Nepal Rastra Bank from time to time. (u) "Deposit Insurance" means the protection of deposits and the act of insuring such deposits pursuant to Section 108. (v) "Officer" means a director, chief executive, company secretary, and an employee of officer level authorized to make decisions on any subject of a bank or financial institution. (w) "Family" means the spouse, son, daughter-in-law, daughter, adopted son, adopted daughter, father, mother, step-mother, and brother and sister-in-law, younger brother and sister-in-law, and elder sister who are dependent on a director for maintenance.

Provided however, that the term shall not refer to family members who have separated their shares by partition and are engaged in their respective professions and businesses.

(x) "Capital" means the authorized capital, issued capital or paid-up capital of a bank or financial institution.

(y) "Capital Fund" means the sum of the core capital and supplementary capital of a bank or financial institution as prescribed by the Nepal Rastra Bank, and this term also includes other funds or amounts designated by the Nepal Rastra Bank from time to time.

(z) "Infrastructure Development Bank" means an infrastructure development bank established to carry out financial transactions referred to in sub-section (5) of Section 49.

(aa) "Letter of Credit" means a letter issued by one bank or financial institution addressed to another bank or financial institution authorizing it to accept checks, drafts, or bills of exchange drawn upon it by a specified person up to a specified amount.

(ab) "Memorandum of Association" means the memorandum of association of a bank or financial institution made pursuant to the prevailing company law.

(ac) "Core Capital" means the paid-up capital, share premium, irr edeemable preference shares, general reserve fund, and the amount under the retained earnings (profit/loss) heading of a bank or financial institution, and this term also includes funds or amounts under other headings designated by the Nepal Rastra Bank from time to time as core capital.

(ad) "Acquiring Institution" means the principal bank or financial institution that merges a licensed institution into itself pursuant to this Act.

(ae) "Acquisition" means the act of one licensed institution taking over another licensed institution by accounting for all assets and probable liabilities so that the legal status of the licensed institution is terminated, and this term also includes the act of accepting all contractual obligations made by the target institution prior to its merger into the acquiring institution.

(af) "Savings Account" means an account in which the record of amounts deposited by a customer for savings purposes in a bank or financial institution is maintained.

(ag) "Bank" means a corporate body established to carry out banking and financial transactions pursuant to sub-section (1) of Section 49, and this term also includes branch offices of foreign banks situated in

Nepal, branch offices opened outside Nepal by a bank established in Nepal, and Infrastructure Development Banks operating pursuant to sub-section (5) of Section 49 and their branch offices.

(ah) "Banking and Financial Transactions" means banking and financial transactions pursuant to Section 49.

(ai) "Bonus Share" means shares issued to shareholders as additional shares by capitalizing savings from profits or other funds of a bank or financial institution, and this term also includes the situation where the paid-up amount of shares is increased by capitalizing savings or other funds.

(aj) "Fixed Account" means a periodic account in which the record of amounts deposited by a customer in a bank or financial institution generally without the ability to withdraw the deposit before a specified period is maintained.

(ak) "Nepal Rastra Bank Act" means the Nepal Rastra Bank Act, 2058 (2002).

(al) "Nepal Rastra Bank" means the Nepal Rastra Bank.

(am) "Target Institution" means a licensed institution whose entire assets and liabilities are merged into the acquiring institution pursuant to this Act.

(an) "Audit Committee" means the Audit Committee pursuant to Section 60.

(ao) "Divide nd" means cash dividend, interim dividend or bonus share given by a bank or financial institution pursuant to this Act and prevailing law.

(ap) "Liquidator" means a person appointed by order of the Court or by a resolution passed at a meeting of creditors to carry out the work of winding up a bank or financial institution, and this term also includes the office carrying out liquidation work.

(aq) "Leasing" means an act pursuant to an agreement whereby only the right to use movable or immovable property is obtained for a specified period, with ownership remaining with the licensed institution, and payment is received from the customer according to a fixed schedule in consideration thereof.

(ar) "Off-balance Sheet Transaction" means letters of credit, guarantees, acceptances, commitments, swaps, options, forward transactions relating to foreign exchange where there is a possibility that the bank or financial institution may have to assume liability, and this term also includes transactions in instruments designated by the Nepal Rastra Bank from time to time.

(as) "Financial Institution" means a corporate body established to carry out banking and financial transactions pursuant to

sub-section (2), (3) or (4) of Section 49, and this term also includes development banks, finance companies, microfinance institutions, branch offices of foreign financial institutions situated in Nepal, and branch offices of financial institutions established in Nepal situated abroad.

(at) "Financial Interest" means the interest of a director, a shareholder holding one percent or more shares, or the chief executive, or the family of such person, or a person, company or corporate body authorized to nominate a director, in any firm, company or corporate body where such person or persons hold ten percent or more share ownership, if they have purchased shares separately or jointly amounting to ten percent or more of the paid-up capital of that firm, company or corporate body, and this term also includes interest designated by the Nepal Rastra Bank from time to time as financial interest considering the nature and circumstances of the financial transaction.

(au) "Branch of a Foreign Bank or Financial Institution" means a branch of a bank or financial institution that has obtained approval from the Nepal Rastra Bank pursuant to this Act to open a branch office in Nepal and carry out banking and financial transactions.

(av) "Electronic Transaction" means transactions for accepting deposits, making payments, transferring funds through telephone, telex, computer or magnetic tape or other similar electronic devices, and this term also includes transactions through terminals, automated teller machines and cash dispensing machines, and transactions through charge cards, debit or credit cards.

(aw) "Prospectus" means the prospectus required to be published by a bank or financial institution pursuant to Section 8.

(ax) "Branch Office" means any branch, sub-branch, extension counter, regional office, representative or contact office of a bank or financial institution situated in Nepal and outside Nepal, and any branch, representative, contact or any other office of a foreign bank or financial institution situated in Nepal.

(ay) "Share" means the divided portion of the share capital of a bank or financial institution.

(az) "Shareholder" means a person having ownership in the shares of a bank or financial institution.

(ba) "Director" means a member of the Board of Directors, and this term also includes the Chairperson of the Board of Directors and an alternate dire

ctor.

(bb) "Board of Directors" means the Board of Directors formed pursuant to Section 14.

(bc) "Founder" means a person who agrees to take at least one share in the memorandum of association and articles of association for the establishment of a bank or financial institution pursuant to this Act and signs as a founder.

(bd) "Related Person" means a director, officer of a bank or financial institution, or any firm, company or institution in which the family of such person has significant ownership, or any person, firm, company or institution having significant ownership in such firm, company or institution, or the beneficiary having significant ownership therein.

(be) "Independent Director" means a person appointed to the position of independent director pursuant to sub-section (3) of Section 14.

(bf) "Voluntary Winding Up" means a situation where a bank or financial institution is voluntarily wound up pursuant to Chapter 11.

(bg) "Creditor" means a person or corporate body to whom a bank or financial institution owes or is liable to pay, and this term also includes depositors and debenture holders for the purposes of winding up.

(bh) "Hypothecation Loan" means a loan disbu rsed based on an agreement between a bank or financial institution and a borrower pledging goods or stock as collateral, with the right of possession remaining with the concerned borrower. Chapter 2

Provisions Relating to Establishment of a Bank or Financial Institution

3. Establishment of a Bank or Financial Institution: (1) Any person wishing to establish a bank or financial institution to carry out banking and financial transactions pursuant to this Act must register such bank or financial institution as a public limited company under the prevailing law. Provided however, that banks or financial institutions operating at the time of commencement of this Act shall not be required to register under this sub-section.

(2) The officer authorized under the prevailing law to register a company must, when registering a company pursuant to sub-section (1), do so subject to Section 4. 4.

Prior Approval Required Before Establishing a Bank or Financial Institution: (1) For the purpose of Section 3, before submitting an application to register a bank or financial institution under the prevailing law, the concerned person or institution must submit an application to the Nepal Rastra Bank for prior approval, accompanied by the following documents and the fee prescribed by the Nepal Rastra Bank:- (a) Memorandum of Association of the proposed bank or financial institution, (b) Articles of Association of the proposed bank or financial institution, (c) Feasibility study report of the proposed bank or financial institution, (d) Personal details of the applicant in the format prescribed by the Nepal Rastra Bank, (e) Certified copy of any agreement entered into between the applicants for establishing the proposed bank or financial institution, if any, (f) Details disclosing the source of investment of the applicant and proof of tax payment up to the immediately preceding fiscal year before submitting the application under this section, (g) Details of whether the applicant is insolvent in Nepal or abroad, has not taken loans from any bank or financial institution, has been blacklisted in any transaction with a bank or financial institution, and if blacklisted, whether three years have elapsed since the removal from such blacklist, (h) Self-declaration that no proceedings are pending against the applicant in Nepal or abroad for fraud, forgery, or acts deemed offenses under prevailing law, and that no punishment has been imposed for such criminal acts, (i) Details of whether the applicant has been subject to action by any regulatory or supervisory body or authority in Nepal or abroad, whether the license of any company or institution with which the applicant is associated has been suspended or revoked, or whether it has been or is in the process of being compulsorily wound up, (j) Details including the name, surname, relationship of family members of the applicant and details of significant ownership or significant status, and if such persons have worked as directors, officers or employees in any institution, the designation of each person, Provided however, that if the applicant is a corporate body, details of persons having significant ownership or status in such corporate body, audited financial statements for the last three fiscal years, and the tax clearance certificate of such corporate body must also be attached. (k) Written authorization given to the Nepal Rastra Bank to conduct or cause to be conducted inquiries regarding the financial and business background of the applicant, or to exchange such information and knowledge, (l) Commitment to insure deposits up to the limit prescribed by the Nepal Rastra Bank, (m) Other details and documents prescribed by the Nepal Rastra Bank from time to time. (2) If, upon examining the application for prior approval received under sub-section (1) and the documents attached thereto, it appears appropriate to grant approval, the Nepal Rastra Bank may, with or without imposing any condition, grant prior approval to establish such bank or financial institution within one hundred and twenty days from the date of receipt of such application. (3) Notwithstanding anything contained in sub-section (2), prior approval to establish a bank or financial institution shall not be granted to the following persons and firms or companies in which the family members of such persons have significant ownership:- (a) Who has been subject to regulatory action by the Nepal Rastra Bank, (b) Who has been punished for a banking offense, (c) Who has been punished for fraud, forgery, or counterfeiting, (d) Who has been punished for an offense relating to money laundering or terrorist financing, (e) Who has been punished for a corruption-related offense, (f) Who has been punished for serious nature offenses such as human trafficking, kidnapping, hostage-taking, or rape.

5. Prior Approval Required for Establishing a Bank or Financial Institution with Foreign Investment: (1) When a foreign bank or financial institution submits an application for prior approval for the purpose of establishing a bank or financial institution pursuant to this Act, either jointly with a corporate body established in Nepal or a Nepali citizen, or as a subsidiary company with share ownership as prescribed by the Nepal Rastra Bank, the applicant must, in addition to the documents mentioned in sub-section (1) of Section 4, submit the following documents and details along with the fee prescribed by the Nepal Rastra Bank:-

(a) Copy of the memorandum of association, articles of association and certificate of registration of the foreign bank or financial institution in its home country, and capital structure,
(b) Copy of the license obtained to conduct banking and financial transactions in the home country of the foreign bank or financial institution,
(c) Details of the principal place of business,
(d) Certified copies of the audited balance sheet and profit and loss account for the last three fiscal years of the foreign bank or financial institution,
(e) Details of the proposed business plan, business strategy and type of transactions to be conducted, internal control and risk management in Nepal,

(f) Decision of the foreign bank or financial institution to open a bank or financial institution in Nepal in accordance with the law of its home country, and the authorization given by the regulatory body of that country.

(2) If, upon examining the application for prior approval received under sub-section (1) and the documents attached thereto, it appears appropriate to grant approval, the Nepal Rastra Bank may, with or without imposing any condition, grant prior approval to the foreign bank or financial institution to establish a bank or financial institution with share investment up to the prescribed limit or as a joint venture within one hundred and twenty days from the date of receipt of such application.

(3) A foreign bank or financial institution may, after obtaining prior approval from the Nepal Rastra Bank, acquire share ownership as a joint venture in an existing domestic bank or financial institution by completing the procedure prescribed by the Nepal Rastra Bank.

(4) Notwithstanding anything contained elsewhere in this Act, any investment made by a foreign bank or financial institution or any other foreign institution in a bank or financial institution prior to the commencement of this Act, with approval under the prevailing law, shall be deemed to remain valid in such bank or financial institution. 6.

Prior Approval Required for Opening a Branch Office of a Bank or Financial Institution: (1) If any internationally rated foreign bank or financial institution wishes to open a branch office in Nepal to conduct banking and financial transactions or non-banking financial transactions, it must obtain the approval of the Nepal Rastra Bank before opening such branch office. (2) For the purpose of sub-section (1), an application must be submitted to the Nepal Rastra Bank along with the capital and fee prescribed by the Nepal Rastra Bank. (3) When submitting an application under sub-section (2), such foreign bank or financial institution must, in addition to the details and documents mentioned in sub-section (1) of Section 5, submit the following additional documents and details:- (a) Written commitment made by the Board of Directors regarding making available the amount required to fulfill all liabilities of the foreign bank or financial institution's branch or representative or contact office in Nepal in relation to its business operations, upon demand by the Nepal Rastra Bank, (b) Details of the location where the proposed branch office of the foreign bank or financial institution will be situated, (c) Details of the prospective officers of the proposed branch office of the foreign bank or financial institution. (4) If, upon examining the documents or details submitted under sub-section (3), it appears necessary to request additional documents or details, the Nepal Rastra Bank may request the necessary documents or details from the concerned applicant. (5) If, after the additional documents under sub-section (3) and documents requested under sub-section (4) are received and upon examining the application, it appears appropriate to grant prior approval, the Nepal Rastra Bank may, with or without imposing any condition, grant approval to such foreign bank or financial institution to open a branch office in Nepal within one hundred and twenty days from the date of receipt of such application. (6) After obtaining prior approval under sub-section (5), such foreign bank or financial institution must register its branch office under the prevailing company law. (7) The branch office of a foreign bank or financial institution registered under sub-section (6) must, for obtaining approval to conduct banking and financial transactions in Nepal, submit an application to the Nepal Rastra Bank along with the fee or charge prescribed by the Nepal Rastra Bank and attach the following documents and details:- (a) Certificate of registration under the prevailing company law to conduct banking and financial transactions in Nepal as a branch office, (b) Approval or consent letter from the government or central bank or regulatory body of the home country of the foreign bank or financial institution, in accordance with the law of that country, permitting such foreign bank or financial institution to open a branch office in Nepal, (c) Details of any changes in any matter required to be fulfilled under this Act by such foreign bank or financial institution after submitting the application to the Nepal Rastra Bank for establishing the branch office or after obtaining prior approval from the Nepal Rastra Bank, (d) Other information and details as requested by the Nepal Rastra Bank. (8) If, upon examining the application received under sub-section (7), it appears appropriate to grant approval, the Nepal Rastra Bank may grant approval to such branch office of the foreign bank or financial institution to conduct banking and financial transactions in Nepal within ninety days from the date of submission of the application. (9) While granting approval under sub-section (8), the Nepal Rastra Bank may also impose necessary conditions. (10) A bank or financial institution may open a branch office outside Nepal with the approval of the Nepal Rastra Bank. (11) The Nepal Rastra Bank shall formulate necessary policies from time to time regarding the opening of branch offices outside Nepal under sub-section (10).

7. Refusal to Grant Prior Approval: (1) The Nepal Rastra Bank may refuse to grant prior approval for establishing a bank or financial institution or for opening a branch office of a foreign bank or financial institution in the following circumstances:-

(a) If the name of the proposed bank or financial institution or the banking and financial transactions to be carried out by such institution are not considered desirable from the perspective of public interest, religion, caste, community, etc.,
(b) If the objective of the proposed bank or financial institution is contrary to prevailing law,
(c) If the proposed bank or financial institution is not considered technically suitable for establishment,
(d) If, upon studying the feasibility study report, details and documents submitted by the proposed bank or financial institution and other infrastructure, there is no basis to believe that financial transactions can be conducted in a healthy and competitive manner,
(e) If all founders of the proposed bank or financial institution have not signed the memorandum of association and articles of association in the presence of witnesses, specifying their names, addresses, and the number of shares to be taken by each, and the name and address of such witnesses are not disclosed,
(f) If the per person share investment limit and share ownership ratio are not found to be as prescribed by the Nepal Rastra Bank from time to time,
(g) If it is found to be contrary to the policy issued by the Nepal Rastra Bank relating to the establishment of banks or financial institutions and licensing,
(h) If other conditions prescribed by the Nepal Rastra Bank are not found to be fulfilled.

(2) If the Nepal Rastra Bank refuses to grant prior approval to the proposed bank or financial institution due to any circumstance mentioned in sub-section (1), it shall inform the applicant of the reason therefor. Chapter 3

Provisions Relating to Securities Transactions

8. Prospectus: (1) Before making a public issue of securities, a bank or financial institution must obtain approval under the prevailing law relating to securities and register its prospectus with the Nepal Rastra Bank.

(2) Until the prospectus is registered under sub-section (1), neither such bank or financial institution nor any person on its behalf may publish the prospectus of such bank or financial institution.

(3) Notwithstanding anything contained in sub-section (1), the Nepal Rastra Bank shall not register such prospectus unless it receives written information that approval has been granted for registration of the prospectus by the Securities Board. 9. Allocation of Shares: (1) A bank or financial institution must allocate at least thirty percent of its total issued capital for sale and distribution to the general public.

Explanation: For the purpose of this section, "general public" means a natural person. (2) Shares allocated for the general public under sub-section (1) must be sold and distributed to the general public within the prescribed period. If not sold, such shares may be sold and distributed to other firms, companies or institutions. (3) A bank or financial institution may allocate up to 0.5 percent of shares beyond the limit mentioned in sub-section (1) for its employees. (4) If a bank or financial institution so desires, it may, by completing the procedure prescribed by the Nepal Rastra Bank, convert the remaining portion of shares into the general public share group, provided that the ownership of the promoter share group is not reduced below fifty-one percent. Explanation: For the purpose of this Chapter,- (a) "Promoter Share Group" means the promoter share group as prescribed by the Nepal Rastra Bank. (b) "General Public Share Group" means the share group other than the promoter share group. (5) Notwithstanding anything contained in sub-section (1), the share ownership ratio need not be as per sub-section (1) in the case of a bank or financial institution to be established with significant ownership of the Government of Nepal, and an Infrastructure Development Bank. (6) A bank or financial institution established with joint investment of a foreign bank or financial institution or any other foreign institution, or an Infrastructure Development Bank, must sell and distribute shares to the general public as prescribed by the Nepal Rastra Bank. (7) When calling for applications from the general public for the purchase of shares of a bank or financial institution, one hundred percent of the face value of the share must be demanded along with the application. 10. Securities Transactions: (1) When a bank or financial institution issues its securities to the general public, the sale, allotment, and exchange of such securities must be carried out in accordance with the prevailing law relating to securities. (2) A bank or financial institution must submit a copy of any agreement made with a securities dealer institution for conducting securities transactions to the Nepal Rastra Bank within seven days from the date of such agreement. (3) A bank or financial institution must obtain prior approval from the Nepal Rastra Bank before issuing any type of debenture or financial instrument. (4) When granting approval under sub-section (3), the Nepal Rastra Bank may impose necessary conditions, and it shall be the duty of the concerned bank or financial institution to comply with such conditions. 11.

Provisions Relating to Sale or Pledge of Shares: (1) A founder of a bank or financial institution shall not sell or pledge the shares held in his/her name until at least five years have elapsed from the commencement of financial operations. (2) Notwithstanding anything contained in sub-section (1), if any obstruction or disruption occurs in the operation of a bank or financial institution creating a special circumstance, or if a founder becomes included in the blacklist of another bank or financial institution's financial transactions, shares may be purchased or sold among the founders themselves with the approval of the Nepal Rastra Bank. Explanation: For the purpose of this sub-section, "special circumstance" means a situation where the meeting of the Board of Directors cannot be held for three consecutive times due to lack of quorum, or where no decision can be reached due to disputes among directors. (3) If a founder wishes to sell or pledge shares held in his/her name after five years from the date the bank or financial institution commenced operations and after shares have been issued to the general public, he/she may sell or pledge such shares, subject to the condition that the sold shares remain within the promoter group, with the approval of the Nepal Rastra Bank. Provided however, that a founder holding less than two percent of the paid-up capital shall not be required to obtain the approval of the Nepal Rastra Bank when selling or pledging his/her shares. (4) Notwithstanding anything contained in sub-section (1) and sub-section (2) of Section 9, after ten years have elapsed from the date the bank or financial institution commenced operations, promoter shares may be gradually converted into general public shares with the approval of the Nepal Rastra Bank, considering the impact on the overall financial sector including the capital market and banking. (5) In a situation where shares of a founder are held by a company or corporate body, prior approval of the Nepal Rastra Bank must be obtained before any change, sale or transfer of shares of shareholders having significant ownership in such company or corporate body. Provided however, that a company or corporate body holding less than two percent of the paid-up capital of a bank or financial institution shall not be required to obtain prior approval of the Nepal Rastra Bank before selling or transferring its shares. 12.

Restriction on Securities Transactions: (1) A director, chief executive, auditor, company secretary, or a person directly involved in the management and accounting functions of a bank or financial institution shall not, during the tenure of such office or until one year from the date of retirement from such office, purchase, sell, cause to purchase or sell, permit to purchase or sell, pledge, cause to pledge, accept or give donation, transfer, or transact securities of the concerned bank or financial institution or its subsidiary company in his/her own name, in the name of a family member, or in the name of any other person or a firm, company or institution under the control of such person. Provided however, that this sub-section shall not be deemed to prevent bonus shares, rights shares, shares allocated for employees, or when new shares are issued, or when implementing directives of the Nepal Rastra Bank, or when any director or corporate body authorized to appoint directors sells all shares held in its name in a bank or financial institution, or when banks or financial institutions merge or amalgamate with each other under Chapter 10, or when one bank or financial institution acquires another bank or financial institution, or when any obstruction or disruption occurs in the operation of a bank or financial institution, the purchase or sale of securities among founder directors or directors with the approval of the Nepal Rastra Bank, or the purchase, sale or transfer of shares occurring in the process of corrective action or resolution of a problematic bank. (2) If any person does any act contrary to sub-section (1), such securities shall be forfeited by the concerned bank or financial institution and sold and distributed as prescribed by the Nepal Rastra Bank. 13.

Bank or Financial Institution Not to Purchase Its Own Shares: (1) A bank or financial institution shall not purchase its own shares or grant loans against the security of its own shares. (2) Notwithstanding anything contained in sub-section (1), a bank or financial institution may, with the approval of the Nepal Rastra Bank, purchase its own shares from retained profits distributable as dividend, not exceeding the percentage prescribed by the Nepal Rastra Bank, in the following circumstances:- (a) If the full amount of shares issued by the bank or financial institution has been paid up, (b) If the shares issued by the bank or financial institution have been listed on the securities market, (c) If the provision allowing the purchase of its own shares exists in the articles of association of the concerned bank or financial institution, (d) If a special resolution has been passed at the general meeting of the concerned bank or financial institution authorizing the purchase of its own shares, (e) If the debt amount payable by the bank or financial institution does not exceed twice the ratio of capital and general reserve fund after the bank or financial institution purchases its own shares, Explanation: For the purpose of this sub-section, "debt amount" means all secured and unsecured loan amounts taken by the bank or financial institution. (f) If the amount for purchasing its own shares does not exceed twenty percent of the total paid-up capital and general reserve fund, (g) If the directives relating to the capital fund issued to the bank or financial institution by the Nepal Rastra Bank are complied with when purchasing its own shares, (h) If it is not contrary to the directives issued by the Nepal Rastra Bank from time to time regarding the purchase of its own shares. (3) For obtaining approval to purchase its own shares under sub-section (2), a bank or financial institution must submit an application to the Nepal Rastra Bank specifying the following details:- (a) Reason, necessity, time period and method for purchasing its own shares, (b) Details of the assessment of the potential impact on the financial position of the bank or financial institution due to the purchase of its own shares, (c) Type of shares proposed to be purchased, price per unit and number of shares, (d) Maximum or minimum amount required to purchase the shares under clause (c) and the source thereof, (e) Other details prescribed by the Nepal Rastra Bank relating to the purchase of its own shares, (f) Other necessary details required to be disclosed under prevailing law. (4) If, upon examining the application and attached details received under sub-section (3), it appears appropriate to grant approval, the Nepal Rastra Bank may grant approval to such bank or financial institution to purchase its own shares. (5) After obtaining approval under sub-section (4), the concerned bank or financial institution may purchase its own shares within six months from the date of obtaining such approval or within twelve months from the date of passing the special resolution at the general meeting, whichever is later, by any of the following methods:- (a) By purchasing through the securities market, (b) By purchasing proportionately from existing shareholders. (6) If a bank or financial institution purchases its own shares under sub-section (5), it must inform the Nepal Rastra Bank of the number of shares purchased, the amount paid therefor, and other necessary details within thirty days from the date of such purchase. (7) An amount equivalent to the face value of the shares purchased under sub-section (5) shall be deducted from the paid-up capital, a separate capital redemption reserve fund shall be created, and the amount shall be deposited in that fund, and the amount of that fund shall be maintained as equivalent to paid-up capital. (8) If a bank or financial institution purchases its own shares under sub-section (5), it must cancel such purchased shares within one hundred and twenty days from the date of purchase. (9) Other provisions relating to the purchase of its own shares by a bank or financial institution shall be as prescribed by the Nepal Rastra Bank.

Chapter 4

Provisions Relating to Board of Directors and Chief Executive

14. Formation of Board of Directors: (1) A bank or financial institution shall have a Board of Directors consisting

However, this provision shall not be deemed to have prevented the Government of Nepal or an entity owned by the Government of Nepal from purchasing shares, or the Nepal Rastra Bank or a bank or financial institution from purchasing shares, or from nominating a director in a microfinance institution or an infrastructure development bank.

(?) Has not paid the tax payable in accordance with the prevailing law,

(?ha) Has been convicted by a court in Nepal or a foreign country for an offense of theft, fraud, forgery, impersonation, corruption, any criminal offense involving moral turpitude, or a banking offense, and a period of ten years has not elapsed since the sentence was served,

(?a) Has been subjected to action by the regulatory body for acting contrary to law in accordance with the prevailing law, or a period of five years has not elapsed since such action was taken,

(?ha) In the case of an independent director, such person is a founder of the concerned bank or financial institution or holds more than zero point one percent share ownership,

(?a) Has outstanding payment of imprisonment or fine imposed by a court order, or has outstanding government dues to be paid.

(2) Notwithstanding anything contained in clause (?a) of sub-section (1), an officer or employee of a bank or financial institution may serve as a director of a subsidiary company of the same bank or financial institution. 19.

Circumstances for not continuing in the office of director: (1) No person shall continue in the office of director of a bank or financial institution in the following circumstances: - (a) If the qualification pursuant to Section 16 or 17 is not met, or if disqualified pursuant to Section 18, (b) If a proposal submitted to the general meeting by shareholders representing at least fifty-one percent of the shares of the same group from which the director was appointed, to remove the director from office, is passed by a majority, Explanation: For the purpose of this section, "group" shall be understood to mean the group of founder shareholders and the group of general public shareholders. (c) If the resignation submitted by the director from his/her position is accepted, (d) If the director performs any act prohibited for a director under this Act or a directive of the Nepal Rastra Bank, (e) If the Nepal Rastra Bank gives a directive to remove the director, stating that he/she is disqualified to remain in the office of director of that bank or financial institution and perform functions due to acting against the interests of the bank or financial institution or the depositors. (2) If a bank or financial institution believes that any of its directors is disqualified to continue in that office under this Act or the Nepal Rastra Bank Act, or if the director does not continue in the office, it shall inform the Nepal Rastra Bank in writing within fifteen days thereof. (3) With respect to a director reported as disqualified to continue in office pursuant to sub-section (2), the Nepal Rastra Bank may make necessary inquiries and issue appropriate directives. 20. Regarding a person holding a constitutional office: A person holding a constitutional office shall not, while continuing in such office, hold the position of director of the board of directors or chief executive of any bank or financial institution. 21. Meeting of the board of directors: (1) The meeting of the board of directors shall be held at least twelve times a year. Provided that the interval between two meetings shall not exceed sixty days. (2) If at least one-third of the directors make a written request specifying the subject matters to be discussed in the meeting, the chairperson shall convene a meeting of the board of directors at any time. (3) The chairperson shall preside over the meeting of the board of directors.

Provided that if any director wishes to record a dissenting opinion on a decision of the board of directors, such dissenting opinion may be signed by him/her and recorded in the minute book. 22. Functions, duties and powers of the board of directors: (1) Except for the functions performed by the general meeting of the bank or financial institution, all functions, duties and powers of the bank or financial institution shall vest in the board of directors, subject to this Act, the prevailing law, the memorandum and the articles of association.

(2) It shall be the duty of the board of directors to operate the bank or financial institution in the interest of depositors, customers and general public shareholders by managing the overall risk of the bank or financial institution, and to ensure that the board does not interfere in the day-to-day operations of the bank or financial institution, such as taking deposits, granting loans, making investments, managing employees, and spending budgets, while maintaining appropriate institutional governance in the bank or financial institution.

(3) Other functions, duties and powers of the board of directors shall be as follows: -

(a) To make and implement necessary regulations, directives and procedures, subject to this Act, the prevailing law and the directives of the Nepal Rastra Bank, to conduct the functions of the bank or financial institution in a systematic manner,

(b) To prepare and implement internal control systems and risk management standards to conduct banking and financial transactions cautiously in accordance with its policies and strategies, in order to prevent risks or risky situations from arising in the transactions of the bank or financial institution,

(c) To make necessary policy arrangements for all functions and activities of the bank or financial institution, to conduct regular monitoring of the activities, and to operate or cause to operate the bank or financial institution in a systematic and prudent manner,

(d) To prepare a clear organizational structure of the bank or financial institution, to formulate policies and implement them,

(e) To present the annual report including the audit report of the bank or financial institution to the annual general meeting,

(f) To perform other functions as prescribed by the Nepal Rastra Bank from time to time. 23.

Accountability and liability of the director: (1) A director shall not do or cause to be done any act for personal gain through the bank or financial institution or in the course of the work of the bank or financial institution. (2) A director acting in the capacity of a director of the bank or financial institution shall be personally liable for any act or activity done exceeding his/her authority. (3) A director of a bank or financial institution shall assume responsibility for adopting efficient business strategies of the institution and for risk management and internal control. (4) A director shall not interfere in the day-to-day operations of the management of the bank or financial institution. (5) A director shall fully comply with the directives given by the Nepal Rastra Bank from time to time. 24. Details of a director to be obtained: A bank or financial institution shall obtain the following details of a director: - (a) Name, surname, address, educational qualification, occupation and experience of the director, (b) If the person has worked as a director, officer or employee of any other body, details specifying the rank and responsibility, (c) Name, surname and details of related persons of the family of the director, and the financial interest of such person and his/her family in the bank or financial institution and other bodies, and the share ownership of that institution held in the name of such person and his/her family, (d) Details of shares or debentures taken by the director or his/her family in the bank or financial institution or its main or subsidiary company, (e) Details if any member of the family is working as an officer or employee in the bank or financial institution, (f) Details if the director or any member of his/her family has made or is about to make any kind of contract with the bank or financial institution, (g) Details if there is any kind of interest or concern regarding the appointment of the chief executive, company secretary and auditor, (h) Written authority given to the Nepal Rastra Bank to inquire or cause to inquire into the financial and professional background of the director, or to exchange or cause to exchange such information and knowledge, (i) Self-declaration that the person is qualified to be a director under this Act, (j) Other details as prescribed by the Nepal Rastra Bank from time to time to be notified to the Nepal Rastra Bank and the board of directors. 25.

Information and record of the director: (1) A director shall submit the details pursuant to Section 24 to the bank or financial institution within seven days of his/her appointment. (2) The bank or financial institution shall maintain a separate record of the details submitted pursuant to sub-section (1). (3) If the director or any member of his/her family has significant ownership or any other kind of interest, directly or indirectly, in the bank or financial institution, such director shall provide complete details of such information at the first meeting of the board of directors. (4) When any matter related to the personal interest of a director is discussed in a meeting of the board of directors or any sub-committee, he/she shall disclose such interest at the beginning of the meeting and shall abstain from the discussion or voting on such matter. (5) If the details pursuant to sub-section (1) change, or if there is a change in the director, notice thereof shall be sent to the Nepal Rastra Bank within fifteen days. (6) If deemed necessary to inquire into the information mentioned in sub-section (5), the Nepal Rastra Bank shall have the authority to inquire or cause to inquire into the same. 26. May form a sub-committee: (1) Except for matters explicitly stated to be done by a particular body or officer under this Act, the board of directors may, subject to the directives of the Nepal Rastra Bank, form one or more sub-committees for a specific purpose. Provided that the chairperson of the board of directors shall not be a member of the sub-committee. (2) The functions, duties, powers, procedures and remuneration or allowances payable to a member for participating in the meeting of the sub-committee formed pursuant to sub-section (1) shall be as determined by the board of directors, and the work carried out and expenses incurred by such sub-committee shall be clearly disclosed in the annual report. 27. Delegation of authority: The board of directors may, specifying the justification and reasons therefor, delegate some of the powers vested in it to any director, a sub-committee formed pursuant to Section 26, the chief executive of the bank or financial institution, or any person acting as the chief executive, to work under its supervision and direction. 28. Allowances and facilities of the director: The meeting allowance and other facilities that a director is entitled to for attending the meeting shall be as prescribed in the articles of association. 29.

Appointment and terms of service of the chief executive: (1) The board of directors shall appoint a chief executive to manage the bank or financial institution, subject to this Act, the memorandum and the articles of association. (2) The term of office of the chief executive shall be a maximum of four years, and he/she may be reappointed for one additional term. (3) The provision mentioned in sub-section (2) shall apply only after the commencement of this Act. (4) Notwithstanding anything contained in sub-section (2), if the performance of the chief executive is not satisfactory, the board of directors may remove him/her from office at any time. Provided that before removing him/her from office in such manner, he/she shall be given a reasonable opportunity to present his/her defense. (5) When appointing the chief executive, a person possessing the following qualifications and experience shall be appointed, and the Nepal Rastra Bank shall be informed of such appointment within seven days: - (a) Has obtained a master's degree in management, banking, finance, monetary, economics, commerce, statistics, accountancy, accounting, mathematics, business administration, or law, (b) Has obtained a chartered accountancy or a bachelor's degree in management, banking, finance, monetary, economics, commerce, statistics, accountancy, accounting, mathematics, business administration, or law, and has at least ten years of work experience at the officer level or above in the banking and financial sector, government body, organized institution, university, or an international association or organization performing such work, Provided that, in the case of a chief executive of a class "gha" financial institution, the educational qualification and work experience as prescribed by the Nepal Rastra Bank shall be required. (c) Has fulfilled the criteria prescribed by the Nepal Rastra Bank regarding the appointment of the chief executive, (d) Is not disqualified under sub-section (1) of Section 18.

Provided that the provisions relating to disqualification mentioned in clauses (jha) and (?ha) of sub-section (1) of Section 18 shall not apply in the case of the chief executive.

(6) If the chief executive appointed pursuant to sub-section (1) is not found to be qualified under this Act, the Nepal Rastra Bank may order the concerned bank or financial institution to remove him/her and appoint another person who is qualified for appointment as chief executive under this Act.

(7) The remuneration, other terms of service and facilities of the chief executive shall be as determined by the board of directors, and the terms of service and facilities shall be determined at the time of appointment.

(8) The chief executive of a bank or financial institution shall not work as the chief executive, officer, employee, or hold any other position in any other commercial entity. Provided that this sub-section shall not be deemed to prevent a bank or financial institution from being a director of an infrastructure development bank if the bank or financial institution has invested in that development bank. 30. Functions, duties and powers of the chief executive: (1) The functions, duties and powers of the chief executive shall be as follows: -

(a) To exercise the powers conferred by the board of directors, subject to the memorandum and articles of association, to implement decisions of the board of directors, and to oversee and control the activities and transactions of the bank or financial institution,

(b) To prepare the annual budget and work plan of the bank or financial institution and submit them to the board of directors for approval,

(c) To manage necessary human resources, subject to the employee bylaws of the bank or financial institution,

(d) To implement or cause to implement the decisions made by the general meeting,

(e) To operate the institution in accordance with this Act and the directives of the Nepal Rastra Bank, and to ensure effective internal control and risk management of the bank or financial institution,

(f) To submit details, documents, decisions, etc., required to be submitted by the bank or financial institution to the Nepal Rastra Bank or any other body, in a timely manner, subject to this Act, the directives of the Nepal Rastra Bank, the memorandum and the articles of association,

(g) To operate in the best interest of depositors, shareholders and the bank or financial institution,

(h) To implement appropriate standards for top management, subject to the policies determined by the board of directors.

(2) The chief executive shall be responsible to the board of directors for his/her work. Chapter 5
Provisions Relating to License

31.

No person other than a bank or financial institution to conduct banking and financial transactions: (1) No person other than a bank or financial institution that has obtained a license to conduct banking and financial transactions pursuant to Section 34 shall conduct banking and financial transactions under this Act. (2) The Nepal Rastra Bank shall formulate and implement a license policy relating to banks and financial institutions for the purpose of granting licenses to banks and financial institutions. 32. Use of the name of a bank or financial institution: (1) No person shall use the name of a bank or financial institution for the purpose of conducting banking and financial transactions without the approval of the Nepal Rastra Bank. (2) Except for a bank or financial institution licensed to conduct banking and financial transactions under Section 49 of this Act and a foreign bank or financial institution opening a branch office in Nepal, no other person, company or institution shall use the terms 'Bank', 'Banking', 'Finance', 'Financial' or any other sign, adjective or similarly meaningful word with its name without prior approval from the Nepal Rastra Bank. (3) Notwithstanding anything contained in sub-section (2), the provision mentioned in sub-section (2) shall not apply to the following institutions: - (a) Any institution established or recognized under the prevailing law or international treaty or practice, (b) A company that, within six months of establishment under the prevailing law, applies for a license to conduct banking and financial transactions. (4) Notwithstanding anything contained in sub-section (2), a bank or financial institution that has obtained approval to conduct financial transactions under the prevailing law at the time of commencement of this Act may conduct financial transactions using the name that existed at the time of obtaining approval for such transactions. (5) Financial institutions of class "kha", "ga" and "gha" shall use the names Development Bank, Finance Company, and Micro Finance Financial Institution respectively. (6) An institution licensed to use the name Micro Finance Development Bank prior to the commencement of this Act shall use the name pursuant to sub-section (5) after the commencement of this Act. 33.

Application to obtain a license to conduct banking and financial transactions: (1) A bank or financial institution desiring to conduct banking or financial transactions under this Act shall submit an application to the Nepal

Rastra Bank along with the fee prescribed by the Nepal Rastra Bank. (2) The application pursuant to sub-section (1) shall be accompanied by the following details and documents: - (a) A copy of the memorandum and articles of association of the bank or financial institution and a certificate of incorporation under the prevailing law, (b) Details of the office building where all necessary infrastructure for conducting transactions is ready, or a copy of the lease agreement if the building is to be rented, along with details of the rented building, and details that there is a sufficient basis to provide banking and financial services and facilities, (c) Documents certifying that the amount of shares that the founders have agreed to take has been paid and deposited with the Nepal Rastra Bank, (d) Bylaws relating to employee service, terms and facilities, financial administration bylaws, and credit write-off bylaws of the bank or financial institution, (e) The address of the main place of business or branch if the location is finalized, (f) Consent to comply with the conditions prescribed by the Nepal Rastra Bank for conducting banking and financial transactions, (g) A business plan prepared covering the business strategy of the bank or financial institution, the nature of transactions to be conducted, internal control and risk management procedures, and organizational structure, (h) The list of directors and officers of the bank or financial institution and details that they are qualified to be directors or officers under this Act, (i) A commitment to maintain the minimum capital as prescribed by the Nepal Rastra Bank from time to time as long as banking and financial transactions are conducted, (j) A commitment by the bank or financial institution to establish an internal control system to appropriately manage all potential risks, (k) Other details and documents as prescribed by the Nepal Rastra Bank from time to time. (3) In the case of a bank or financial institution established with joint investment in Nepal by a foreign bank or financial institution, in addition to the matters mentioned in sub-section (2), the following documents or details shall also be submitted to the Nepal Rastra Bank: - (a) In the case of banks or financial institutions of class "ka", "kha", "ga" and "gha", an approval or consent letter from the government of the concerned country or the central bank or regulatory body, in accordance with the law of that country, permitting such foreign bank or financial institution to conduct banking and financial transactions in Nepal, (b) Details, if any matter required to be fulfilled under this Act by such foreign bank or financial institution has changed after submitting the application to the Nepal Rastra Bank for establishing the foreign bank or financial institution or after obtaining permission from the Nepal Rastra Bank, (c) Other information and details as required by the Nepal Rastra Bank. (4) If, during the examination of the documents or details received pursuant to sub-section (2) or (3), any document or detail is found missing or insufficient, the Nepal Rastra Bank may request additional documents or details from such bank or financial institution.

34. May grant license to conduct banking and financial transactions: (1) If, upon examining the application received pursuant to Section 33 and the documents or details attached therewith, it is found that all bases for conducting banking and financial transactions under this Act are met, the Nepal Rastra Bank may, within one hundred and twenty days of receipt of the application, grant a license of any one class to such bank or financial institution to conduct banking and financial transactions based on the classification of the bank or financial institution under Section 37.

(2) Before granting a license pursuant to sub-section (1), the Nepal Rastra Bank shall ascertain the following matters: -

(a) That granting a license to conduct banking and financial transactions will result in healthy competition and effective financial intermediation transactions, ensuring the interest of depositors,

(b) That the entity is capable of conducting banking and financial transactions subject to this Act or the rules, regulations, orders or directives made under this Act, and the memorandum and articles of association,

(c) That the details and documents attached with the application for license under Section 33 are complete and that there is adequate physical infrastructure,

(d) That any officer appointed or associated, or to be appointed or associated, in the bank or financial institution is capable of conducting banking and financial transactions.

(3) When granting a license to conduct banking and financial transactions, if the Nepal Rastra Bank specifies the date on which the license shall take effect, it shall be deemed to have commenced from that date, and if no such date is specified, from the date of issuance of the license. 35. May refuse to grant license: (1) Notwithstanding anything contained in Section 34, the Nepal Rastra Bank may refuse to grant a license to a bank or financial institution to conduct banking and financial transactions in any of the following circumstances: -

(a) If it would adversely affect the stability, fair competition and credibility of the financial system of Nepal,

(b) If it would not be proper and appropriate to grant a license to conduct financial transactions for the protection of the interests of depositors,

(c) If the infrastructure for conducting banking and financial transactions is not complete,

(d) If other details or conditions under this Act are not found to have been fulfilled.

(2) If a license to conduct banking and financial transactions cannot be granted under this section, the Nepal Rastra Bank shall, within ninety days from the date of application, notify the concerned bank or financial institution thereof, stating the reasons. 36.

Nepal Rastra Bank may impose conditions: (1) While granting a license to conduct banking and financial transactions under Section 34, the Nepal Rastra Bank may impose necessary conditions having regard to the existing situation of the bank or financial institution, the healthy operation of financial transactions and the interests of depositors. It shall be the duty of the concerned bank or financial institution to comply with such conditions. (2) The Nepal Rastra Bank may, from time to time, make additions, deletions or modifications to the conditions imposed under sub-section (1) as necessary. 37. Classification of banks or financial institutions: Based on the minimum paid-up capital of the bank or financial institution applying for license under Section 33 to conduct banking and financial transactions, and the transactions and scope of business conducted by such bank or financial institution, the Nepal Rastra Bank shall classify the bank or financial institution into class "ka", "kha", "ga" or "gha" and grant the license accordingly to the concerned bank or financial institution. Provided that an infrastructure development bank shall not be included in any class. 38. May be converted into a higher class bank or financial institution: (1) If a financial institution of a lower class desires to be converted into a bank or financial institution of the immediate higher class, it shall submit an application to the Nepal Rastra Bank along with the details prescribed by the Nepal Rastra Bank.

Provided that a class "gha" institution shall not be convertible into a higher class.

(2) If, upon examining the application under sub-section (1) and the details attached therewith, it appears appropriate to convert such financial institution into a bank or financial institution of the immediate higher class, the Nepal Rastra Bank may grant prior approval subject to the following: -

(a) The paid-up capital as prescribed by the Nepal Rastra Bank for the higher class bank or financial institution has been fulfilled,

(b) Capital adequacy as per the directives of the Nepal Rastra Bank has been maintained continuously for the past five years, the institution has been in profit continuously for five years, and the average non-performing loan for the past five years is within the limit prescribed by the Nepal Rastra Bank,

(c) Preliminary expenses have been written off,

(d) Shares that need to be publicly issued have been issued and allotted,

(e) The general meeting has passed a special resolution to convert into a higher class bank or financial institution,

(f) All other conditions prescribed by the Nepal Rastra Bank have been fulfilled.

(3) The bank or financial institution that has obtained prior approval under sub-section (2) shall cause the memorandum or articles of association to be amended in accordance with the prevailing law, and the Nepal Rastra Bank shall grant a license for the higher class bank or financial institution under this Act. 39. List to be published: (1) The Nepal Rastra Bank shall publish a list of banks and financial institutions conducting banking and financial transactions each month through a national daily newspaper or any other medium.

(2) The list published pursuant to sub-section (1) may include the date of commencement of transactions, paid-up capital, capital fund position, total loans, non-performing loan position, and other details deemed necessary by the Nepal Rastra Bank. Added by the Act to Amend Some Nepal Acts to Make Them Consistent with the Constitution of Nepal, 2018 (2075).39ka. Provisions relating to operation of financial institutions in provinces: (1) Financial institutions may be operated limited to the provincial level, subject to the limits, conditions or directives prescribed by Nepal Rastra Bank.

(2) A financial institution pursuant to sub-section (1) shall obtain a license in accordance with the law made by the province, subject to the licensing policy determined by Nepal Rastra Bank.

(3) The regulation, inspection and supervision of financial institutions operated under this section shall be done by Nepal Rastra Bank.

(4) Other provisions relating to the operation of provincial-level financial institutions shall be as provided in the law of the concerned province, subject to this Act. 40.

Special provisions relating to branch of a foreign bank: (1) If the Nepal Rastra Bank approves an internationally rated foreign bank to conduct banking and financial transactions in Nepal through a branch, the branch registered under the company law in force in Nepal shall be deemed equivalent to a bank or financial institution established under this Act, and all other provisions of this Act or the rules, regulations, orders or directives made under this Act shall apply equally to such branch, except where otherwise provided. (2) The Nepal Rastra Bank may issue necessary directives regarding the functions, duties, powers, responsibilities, liabilities, property, accounts, etc., of the branch of a foreign bank, and regarding the responsibility of officers and employees performing such activities. (3) The branch of a foreign bank located in Nepal shall, while using its assets to fulfill its liabilities, give first priority to the liabilities in Nepal and fulfill them, without adversely affecting any other legal provision. (4) Notwithstanding anything contained elsewhere in this Act, the branch of a foreign bank may conduct wholesale banking transactions. (5) The work and activities of the branch office of a foreign bank shall be as prescribed by the Nepal Rastra Bank. Chapter 6 Provisions Relating to Capital, Capital Fund and Liquid Assets 41. Capital to be maintained: (1) The minimum paid-up capital of a bank or financial institution shall be as determined by the Nepal Rastra Bank from time to time. (2) The bank or financial institution shall complete the minimum paid-up capital under sub-section (1) within the time period determined by the Nepal Rastra Bank. (3) The Nepal Rastra Bank may provide that any person, firm, company or institution may invest up to a maximum of fifteen percent of the paid-up capital of any one bank or financial institution. (4) A person, firm, company or institution investing in one bank or financial institution pursuant to sub-section (3) shall, when investing in another bank or financial institution, make the investment at a rate not exceeding one percent of the paid-up capital of that bank or financial institution. (5) The provision regarding the limit up to which any person, firm, company or institution may invest in the paid-up capital of a bank or financial institution established with foreign joint investment, a class "gha" financial institution, and an infrastructure development bank shall be as prescribed by the Nepal Rastra Bank. (6) The percentage of share capital that any person or institution may invest in establishing a bank or financial institution or in such bank or financial institution shall be as determined by the Nepal Rastra Bank from time to time. 42.

Capital fund: (1) A bank or financial institution shall maintain a capital fund in the ratio prescribed by the Nepal Rastra Bank based on its total assets or total risk-weighted assets. The Nepal Rastra Bank may also prescribe an additional capital fund ratio when prescribing such ratio. (2) If a bank or financial institution fails to maintain the capital fund under sub-section (1), the board of directors of such bank or financial institution shall inform the Nepal Rastra Bank thereof within one month. (3) The information under sub-section (2) shall, in addition to other matters, attach the reasons for the failure to maintain the capital fund and the plan or program prepared by the board of directors to increase the capital fund and bring it to the condition as directed by the Nepal Rastra Bank. (4) If the information and the plan or program submitted by the board of directors under sub-sections (2) and (3) appear reasonable, the Nepal Rastra Bank may issue necessary directives to the concerned bank or financial institution to implement accordingly, and if any modification or alteration is required, to implement the proposed plan or program after modification or alteration by stating reasons therefor. 43. Provision relating to possible loss: A bank or financial institution shall make provisions for losses as prescribed by the Nepal Rastra Bank to cover potential risks related to its assets including loans and off-balance sheet transaction liabilities. 44. General reserve fund: (1) A bank or financial institution shall maintain a general reserve fund. Until the amount in such reserve fund equals twice the amount of paid-up capital, at least twenty percent of the net profit of each fiscal year shall be added to it, and thereafter at least ten percent shall be added in subsequent fiscal years. (2) The amount accumulated in the general reserve fund of a bank or financial institution under sub-section (1) shall not be transferred to other heads or expended without prior approval of the Nepal Rastra Bank. 45. Exchange equalization fund: (1) A bank or financial institution engaged in foreign exchange transactions shall, at the end of each fiscal year, adjust the revaluation profit earned due to changes in the exchange rate of foreign currencies other than Indian Rupees in the profit and loss account. When making such adjustment in the profit and loss account, if there is revaluation income in any fiscal year, at least twenty-five percent of such profit shall be deposited in the exchange equalization fund.

Provided that, in the case of revaluation profit or loss arising from changes in the exchange rate of Indian Rupees, it shall be as prescribed by the Nepal Rastra Bank. (2) The amount deposited in the exchange equalization fund under sub-section (1) shall not be spent on other purposes or transferred without the approval of the Nepal Rastra Bank, except to adjust losses arising from fluctuations in foreign exchange rates. 46. Liquid assets to be maintained: A bank or financial institution shall maintain liquid assets as prescribed by the Nepal Rastra Bank from time to time. 47. Declaration and distribution of dividend: (1) A bank or financial institution shall obtain the approval of the Nepal Rastra Bank before declaring and distributing dividends. (2) A bank or financial institution shall not declare or distribute dividends to shareholders until all its preliminary expenses, losses incurred up to the previous year, capital, capital fund, possible loss provisions prescribed by the Nepal Rastra Bank, and the amount required to be set aside in the general reserve fund under Section 44 are fully met, and until the shares set aside for the general public are fully sold and distributed. 48. May order to reduce capital: Notwithstanding anything contained in the prevailing law, the Nepal Rastra Bank may order a bank or financial institution to reduce its issued and paid-up capital. Chapter 7 Provisions Relating to Conduct of Banking and Financial Transactions 49.

Bank or financial institution may conduct banking and financial transactions: (1) Subject to this Act, the memorandum and articles of association, and the limits, conditions or directives prescribed by the Nepal Rastra Bank, a class "ka" bank may conduct the following banking and financial transactions: - (a) Accept deposits with or without interest or mobilize deposits through various financial instruments, and make payments thereof, (b) Accept deposits, make payments, conduct transactions, perform intermediation and remit funds through electronic devices or means, (c) Grant loans including hire purchase, leasing, housing, overdraft, (d) Grant loans against project and hypothecation mortgage, and arrange for granting loans jointly under an agreement among themselves on the basis of co-financing with pari passu sharing of collateral, (e) Grant loans against the guarantee of a foreign bank or financial institution, (f) Grant loans up to the amount covered by the value of movable and immovable property already mortgaged with it, or grant loans up to the amount covered by the value of movable and immovable property already mortgaged with another bank or financial institution under a re-mortgage, (g) Issue letters of guarantee on behalf of its clients, make necessary conditions with the client therefor, take mortgage of his/her movable and immovable property or take guarantee of a third person, and acquire, hold and conduct other related transactions of the property taken as security, (h) Obtain refinance from the Nepal Rastra Bank as needed, or obtain from or grant loans to other banks or financial institutions, (i) Provide loans or manage loans from funds received through the Government of Nepal or other domestic or foreign bodies for the promotion of projects, (j) Write off loans subject to the prevailing loan write-off regulations, (k) Issue shares, debentures, bonds, etc., for the purpose of meeting the capital fund requirement, (l) Issue, accept, pay, discount or buy and sell letters of credit, bills of exchange, promissory notes, cheques, traveler's cheques, drafts or other financial instruments, (m) Issue, accept, manage and appoint agents for performing related functions for digital or card-based financial instruments for electronic transactions, (n) Conduct foreign exchange transactions subject to the prevailing law, (o) Conduct government transactions as per the limits, conditions or directives prescribed by the Nepal Rastra Bank, (p) Buy, sell or discount bonds issued by the Government of Nepal or the Nepal Rastra Bank, (q) Send or remit funds within Nepal or abroad by bills of exchange, cheques or other financial instruments, receive remittances from abroad and make payment thereof, (r) Act as a commission agent on behalf of clients to underwrite, buy and sell shares, debentures or securities, collect dividends on shares, interest on debentures or securities, etc., and send such dividends, profits or interest within Nepal or abroad, provide safe deposit vault facilities for clients, (s) Conduct off-balance sheet transactions, (t) Grant loans up to the amount prescribed by the Nepal Rastra Bank on personal or group surety for the economic upliftment of the underprivileged class, low-income families, victims of natural disasters, and residents of any region of the country, (u) Obtain from and provide to the Nepal Rastra Bank, concerned body or other banks or financial institutions, details, information or knowledge of borrowers or clients taking loans or any kind of facility from itself and other banks or financial institutions, (v) Buy and sell gold and silver, (w) Conduct or cause to conduct studies, research, surveys relating to project establishment, operation and evaluation, and provide training, consultancy and other information, (x) Properly manage and sell all kinds of property that come under its ownership under this Act and the prevailing law, (y) Provide guarantee by agreement of both parties to arrange for payment of amounts payable or receivable in respect of any transaction between two or more persons under the prevailing law, after such transaction is completed, (z) Perform other functions prescribed by the Nepal Rastra Bank. (2) Subject to this Act, the memorandum and articles of association, and the limits, conditions or directives prescribed by the Nepal Rastra Bank, a class "kha" financial institution may, in addition to the banking and financial transactions mentioned in clauses (ka), (kha), (ga), (cha), (ja), (jha), (ña), (?a), (?ha), (?ha), (ta), (da), (dha), (na), (pa) and (bha) of sub-section (1), also conduct the following other banking and financial transactions: - (a) Grant loans against project mortgage, arrange for granting or causing to grant loans jointly under an agreement among themselves on the basis of co-financing with pari passu sharing of collateral, (b) Issue letters of guarantee on behalf of its clients, make necessary conditions with the client therefor, take mortgage of his/her movable and immovable property or take guarantee of a third person, (c) Issue, accept, pay, discount or buy and sell bills of exchange, promissory notes, cheques, traveler's cheques, drafts, (d) Obtain loans against mortgage of its own movable and immovable property, (e) Conduct letter of credit and remittance transactions with prior approval of the Nepal Rastra Bank (?) To provide any kind of loan or facility to a director, a person holding one percent or more of the paid-up capital, the chief executive or a member of the family of such person, or a managing agent, or any firm, company or institution in which a person authorised to nominate a director has substantial ownership or financial interest, (?) To provide a loan or facility to the same customer, company, companies within the same group or partnership firm, or related person, exceeding the per-customer limit prescribed by Nepal Rastra Bank based on its capital fund, (?) To provide any kind of loan to any person, firm, company or institution against the guarantee of a founder, director or chief executive, (?) To invest in securities of banks or financial institutions classified as "Ka", "Kha" and "Ga" class by Nepal Rastra Bank, (?) To invest an amount exceeding the limit prescribed by Nepal Rastra Bank in the share capital of other institutions, (?) For banks or financial institutions to collude to establish any kind of monopoly or any other type of restrictive practice in financial transactions, (?) To commit any act with the intention of gaining undue advantage that artificially impedes the competitive environment of the financial sector, (?) To perform other acts as may be prescribed by Nepal Rastra Bank from time to time as acts not to be done by a bank or financial institution. (2) Notwithstanding anything contained elsewhere in this Act, providing housing or other facilities to employees in accordance with the prevailing employee by-laws of the bank or financial institution for conducting its banking and financial operations, providing credit against the security of debt instruments issued by the Government of Nepal or Nepal Rastra Bank, deposits in any deposit account or fixed deposit receipts, and providing credit against the security of the bank's own fixed deposits or debt instruments issued by the Government of Nepal or Nepal Rastra Bank, and providing credit card facilities up to the prescribed limit to founders, directors, chief executives or shareholders holding more than one percent shares, shall not be deemed to constitute a hindrance.

51. Provisions relating to subsidiary company: (1) A bank or financial institution may establish a subsidiary company with the approval of Nepal Rastra Bank.

(2) While granting approval to establish a subsidiary company pursuant to sub-section (1), Nepal Rastra Bank may prescribe necessary conditions. 52. Not to transact with related persons: No bank or financial institution shall provide any loan or facility to related persons. 53. To inform about suspicious transactions: A bank or financial institution shall, regarding the identification of account holders or customers transacting with it and the reporting of suspicious transactions, act in accordance with the provisions of the prevailing laws relating to the prevention of money laundering and financing of terrorist activities. 54. Nepal Rastra Bank to issue directives: Nepal Rastra Bank may issue necessary directives concerning the procedural arrangements and other matters to be followed by a bank or financial institution while conducting business under this Chapter. Chapter-8

Provisions relating to Loan Disbursement and Recovery

55. Provisions relating to loan disbursement: (1) Subject to the directives of Nepal Rastra Bank and the loan policy determined by the board of directors, a bank or financial institution shall disburse loans only after specifying the purpose. Amended by the Act Amending Some Nepal Acts relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.(2) While providing a loan, a bank or financial institution may, by accepting movable or immovable property acceptable to it as collateral, or other appropriate guarantee, or by accepting the project development agreement entered into between the Government of Nepal, a provincial government, a local level or a body under such government or level and the investor for implementing a project under the concept of public-private partnership as security, disburse the loan in a manner that protects the interest of itself and the depositors.

(3) For the property taken as security for a loan pursuant to this section to be registered, filed, endorsed or attached in the name of the bank or financial institution so that it cannot be registered, filed, endorsed or transferred in anyone else?s name for any reason, the bank or financial institution shall send a letter to the relevant office.

Added by the Act Amending Some Nepal Acts relating to Improvement of Economic and Business Environment and Enhancement of Investment, 2081.(3A) In case a problem arises in a project implemented pursuant to a project development agreement entered into between the Government of Nepal, a provincial government, a local level or a body under such government or level and the investor under the concept of public-private partnership, or in case the borrower fails to fulfill the loan obligation, the bank or financial institution shall have the right to exercise step-in rights in accordance with the agreement made with the Government of Nepal, the relevant provincial government, the local level or the body under such government or level.

(4) Upon receiving a letter for registration, filing or attachment pursuant to sub-section (3), the relevant office shall register, file or attach as per the letter.

(5) If Nepal Rastra Bank issues a directive to provide loans to a priority class or sector for the economic upliftment of low-income and disadvantaged persons and residents living in a particular geographical area, the bank or financial institution shall provide loans accordingly.

(6) The terms, tenure and interest rate of a loan taken by a borrower from a bank or financial institution shall be as specified in the deed or contract made regarding the loan transaction.

(7) The bank or financial institution shall obtain details and identification evidence necessary for taking action pursuant to prevailing law regarding the borrower, the guarantor, or if the borrower is a firm, company or institution, its directors, shareholders holding more than the percentage prescribed by Nepal Rastra Bank, partners or persons having any other type of ownership, the families of all the aforementioned persons, and wherever such persons are beneficiaries.

(8) While providing a loan, the bank or financial institution shall clearly mention in the deed or contract the loan amount provided to the borrower, the applicable interest, penalty, and the repayment schedule, and shall provide information thereof to the borrower and, if there is a guarantor, also to the guarantor.

(9) The borrower may request details of the loan principal, interest, penalty and other fees payable or paid by him/her, as well as documents relating to the deed or contract made to obtain the loan, and the bank or financial institution shall make such details available to the borrower. 56. Monitoring relating to proper utilization of loan amount: The bank or financial institution shall prepare a monitoring schedule and regularly monitor whether the borrower has properly utilized the loan amount for the purpose for which the loan was

provided. 57.

Provisions relating to loan recovery: (1) If the borrower fails to comply with the terms and conditions mentioned in the deed or contract relating to the loan transaction, or fails to repay the loan and applicable interest or penalty within the tenure stipulated in the deed or contract, or if upon monitoring pursuant to section 56 it appears that the borrower has misused the loan amount by not using it for the purpose for which it was taken, then, notwithstanding anything contained in the deed or contract relating to the loan transaction or in the prevailing law, the concerned bank or financial institution may recover its principal and interest by auctioning the security given in writing or pledged by the borrower or by making other arrangements. (2) Notwithstanding anything contained in the prevailing law, if the security given in writing or pledged by the borrower to the bank or financial institution is in any way abandoned by anyone or the value of the security decreases due to any other reason, the bank or financial institution may, giving a specified period, require such borrower to provide additional collateral security, and the borrower shall provide additional collateral security within the period specified by the bank or financial institution. (3) If the borrower fails to provide additional collateral pursuant to sub-section (2), or if the principal and interest cannot be recovered from the collateral security provided, the bank or financial institution may recover its principal and interest from other movable or immovable property owned by or belonging to the borrower, in accordance with the prevailing law. (4) When recovering principal, interest and penalty amounts by auction or other arrangement pursuant to this section, after deducting the expenses incurred and the bank's or financial institution's principal, interest and penalty amounts, any remaining amount shall be returned to the concerned borrower. (5) The bank or financial institution shall send a letter to the relevant office for registration or filing, in accordance with the prevailing law, in the name of the person acquiring the property auctioned pursuant to this section. (6) Upon receiving a letter for registration or filing pursuant to sub-section (5), the relevant office shall register or file in the name of such auction purchaser, notwithstanding anything contained in the prevailing law. (7) If no one purchases the movable or immovable property held as collateral security at auction pursuant to this section, such property may be taken into its own ownership by the bank or financial institution as prescribed. (8) The bank or financial institution shall send a letter to the relevant office for registration or filing in its own name of the property taken into its ownership pursuant to sub-section (7).

Upon receiving such letter, the relevant office shall register or file such property in the name of the bank or financial institution, notwithstanding anything contained in the prevailing law.

(9) If the original owner refuses to allow possession or obstructs the use of property purchased by any person or bank or financial institution at auction, the relevant body of the Government of Nepal shall cause possession to be given in accordance with the prevailing law.

(10) A licensed institution shall not stop recovery proceedings for loans written off in accordance with the prevailing loan write-off by-laws.

(11) If a borrower fails to repay the loan taken from the bank or financial institution along with applicable interest and penalty within the tenure specified in the related deed or contract, the bank or financial institution shall send a letter to the Credit Information Centre Limited to place such borrower on the blacklist in accordance with the prevailing law.

(12) If the loan is still not recoverable even after initiating recovery proceedings against a borrower pursuant to this section, and if such loan can be recovered from any other assets of the borrower located abroad, the bank or financial institution may initiate necessary actions including attachment of assets in accordance with prevailing law for the purpose of recovering such loan.

(13) If the loan cannot be recovered even after all recovery proceedings pursuant to this section, the concerned bank or financial institution may request Nepal Rastra Bank to make necessary arrangements for impounding and confiscating the borrower's passport and for depriving the concerned borrower of any facilities provided by the state. Upon receiving such request, Nepal Rastra Bank shall forward it with its opinion to the Government of Nepal for necessary action.

(14) No action initiated by a bank or financial institution against any person in relation to loan recovery shall be deemed to bar proceedings against such person for any offence under the prevailing law. Chapter-9

Provisions relating to Accounts, Records, Statements and Reports

58.

Accounts to be kept properly: (1) A bank or financial institution shall keep its books of account, accounts, ledgers, registers and accounting records accurately and properly. (2) The accounts maintained pursuant to sub-section (1) shall be kept in accordance with accepted principles based on the double entry bookkeeping system, clearly reflecting the true state of the bank's or financial institution's transactions. (3) Without prejudice to the generality of sub-sections (1) and (2), a branch or office of a licensed foreign bank or financial institution shall prepare and maintain separate accounts, books of account, records and financial statements including profit and loss accounts, clearly showing its assets, liabilities, income, expenses, etc. (4) The accounts and other statements maintained pursuant to sub-section (1) shall be kept at its head office, unless otherwise approved by Nepal Rastra Bank. 59. To prepare and maintain balance sheet, profit and loss account: (1) A bank or financial institution shall keep its balance sheet and profit and loss account, as well as other financial statements including cash flow, in accordance with the format and method prescribed by Nepal Rastra Bank. (2) A bank or financial institution shall submit its balance sheet and profit and loss account statement to Nepal Rastra Bank within three months of the end of each fiscal year, and such balance sheet and profit and loss account statement shall be made public within the same period as prescribed by Nepal Rastra Bank for the information of the general public.

The bank or financial institution shall prepare the balance sheet and profit and loss account statement of transactions within and outside Nepal for each audited fiscal year and make it public in the prescribed format within nine months of the following fiscal year.

(3) The balance sheet and profit and loss account of a bank or financial institution shall, if there is a subsidiary company of such bank or financial institution, also indicate the transactions and financial condition of such subsidiary company separately and in consolidated form.

(4) The format, content, method of certification, and details to be made public of the balance sheet and profit and loss account to be prepared by a bank or financial institution under this Chapter shall be as prescribed or directed by Nepal Rastra Bank.

(5) If there is suspicion that matters mentioned in any statement made public by a bank or financial institution pursuant to sub-section (2) are false, incomplete, misleading or untrue, Nepal Rastra Bank may, giving written notice, require such bank or financial institution to do the following:

(a) Publish the omitted or not mentioned subject matter, or
(b) Correct the false, incomplete, misleading or untrue information and re-publish the statement, or
(c) Correct and publish other matters as prescribed by Nepal Rastra Bank through directives. 60. Audit Committee: (1) The board of directors of a bank or financial institution shall constitute an audit committee

consisting of three members, with a non-executive director as its chairperson.

(2) The chairperson, deputy chairperson of the board and the chief executive of the bank or financial institution shall not serve on the audit committee formed pursuant to sub-section (1).

(3) A member of the audit committee formed pursuant to sub-section (1) shall not be involved in the regular day-to-day transactions including taking deposits, granting loans, investing in securities, or approving expenditure from the approved budget.

(4) Unless a meeting is called by the board of directors, the audit committee shall generally meet once every three months.

(5) The procedure for meetings of the audit committee shall be as determined by that committee. 61.

Functions, duties and powers of the audit committee: The functions, duties and powers of the audit committee shall be as follows: (a) To monitor and supervise whether the accounts, budget and internal audit procedures, and internal control system of the bank or financial institution are appropriate and, if so, whether they are complied with, (b) To cause internal audit of the accounts and books of the bank or financial institution to be conducted and to ascertain whether such documents have been properly prepared in accordance with the prevailing law, regulations and directives of Nepal Rastra Bank, (c) To examine or cause to be examined the regular managerial and operational performance of the management and operation of the bank or financial institution to be assured that the prevailing law applicable to the bank or financial institution is fully complied with, (d) To monitor whether activities are carried out in accordance with this Act or the rules, regulations, policies made under this Act or directives issued thereunder, and submit a report thereof to the board of directors, (e) To recommend the names of three auditors for the appointment of an external auditor, (f) To provide opinions on matters requested by the board of directors. 62. Audit: (1) A bank or financial institution shall prepare its annual financial statements including the balance sheet, profit and loss account in the format and manner prescribed by Nepal Rastra Bank and get them externally audited within four months of the end of the fiscal year. Such financial statements shall bear the signatures of at least two directors, the chief executive and the auditor. Provided that, regarding the audit of a branch office of a foreign bank or financial institution licensed to conduct banking and financial business with the approval of Nepal Rastra Bank, the audit shall be as prescribed by Nepal Rastra Bank. (2) If a bank or financial institution is unable to get the audit done within the period under sub-section (1), it may request an extension of the audit period stating reasonable grounds, and Nepal Rastra Bank may grant an extension of a maximum of two months. (3) The external auditor shall submit the audit report to the concerned bank or financial institution and to Nepal Rastra Bank. 63.

Appointment and remuneration of auditor: (1) The auditor shall be appointed by the general meeting of the bank or financial institution. (2) The general meeting shall not appoint the same auditor for more than three consecutive terms. (3) When appointing an auditor under sub-section (1), in the case of a bank or financial institution licensed under "Ka", "Kha" and "Ga" class, a chartered accountant shall be appointed, and in the case of a bank or financial institution licensed under "Gha" class, a chartered accountant or a registered auditor shall be appointed. (4) If a bank or financial institution fails to appoint or cannot appoint an auditor under sub-section (1), Nepal Rastra Bank may appoint an auditor. (5) If the position of auditor becomes vacant for any reason, the board of directors shall appoint another auditor for the remaining term. (6) The remuneration of the auditor of a bank or financial institution shall be as prescribed by Nepal Rastra Bank if appointed by Nepal Rastra Bank, by the general meeting if appointed by the general meeting, and by the board of directors if appointed by the board of directors. 64. Persons not eligible for appointment as auditor:

(1) The following persons, or a firm, company or institution in which such a person is a founder or partner, shall not be eligible for appointment as auditor of a bank or financial institution: (a) A founder, director, chief executive of the bank or financial institution, or a member of his/her family, (b) An officer, employee or internal auditor of the bank or financial institution, (c) A person who has worked in partnership with a director, chief executive or employee of the bank or financial institution, (d) A borrower of the bank or financial institution, a person having substantial ownership or a related person or a person having financial interest, (e) A person declared insolvent in Nepal or abroad, (f) A person, firm, company or institution holding one percent or more shares of the concerned bank or financial institution, (g) A person who has been convicted of a criminal offence by a court and from whose sentence a period of five years has not elapsed, (h) A person disqualified from being appointed as an auditor under the prevailing law. (2) If a person appointed as auditor of a bank or financial institution is found to be disqualified under sub-section (1), the appointment of such person shall be deemed automatically revoked. 65.

66. Functions, duties and powers of the auditor: (1) The functions, duties and powers of the auditor shall be as follows:

(a) To audit the accounts and financial statements,
(b) To prepare and submit an audit report to the board of directors of the bank or financial institution, including the audited accounts, balance sheet and profit and loss account,
(c) To inform the board of directors if there is irregularity in the operations of the bank or financial institution or if work is not done properly and such matter is likely to cause loss or damage to the bank or financial institution,
(d) To inform Nepal Rastra Bank if it perceives the possibility of the following situations:
(1) Violation of conditions stipulated by Nepal Rastra Bank while granting the license to the bank or financial institution, or of this Act, or rules, regulations or directives made under this Act,
(2) Adverse effect on the regular operations of the bank or financial institution,
(3) Preventing the auditor from presenting the audit report or causing a false audit report to be submitted.

(2) The auditor shall have the right to inspect all documents, accounts, books of account, ledgers, vouchers and registers of the bank or financial institution at any time in the course of performing his/her duties, and the auditor may, in the course of completing his/her work and performing his/her duties appropriately, request any information and explanation from the officer of the bank or financial institution that he/she deems necessary.

(3) The auditor shall clearly mention the following matters in his/her report:

(a) Whether or not replies to requested matters have been received,
(b) Whether or not the financial statements including the balance sheet, off-balance sheet transactions, profit and loss account and cash flow statement have been prepared in the format and manner prescribed by Nepal Rastra Bank, and whether or not such statements are consistent with the books of account, ledgers, registers and accounts maintained by the bank or financial institution,
(c) Whether or not books of account, ledgers, registers and accounts have been properly kept in accordance with the prevailing law,
(d) Whether or not any officer of the bank or financial institution has done any act or irregular activity contrary to the prevailing law, or whether or not loss or damage has been caused to the bank or financial institution,
(e) Whether or not loan write-offs have been made in accordance with the loan write-off by-laws or directives of Nepal Rastra Bank,

(f) Whether or not the transactions of the bank or financial institution are being conducted satisfactorily as prescribed by Nepal Rastra Bank,
(g) Matters that need to be communicated to shareholders,
(h) Matters prescribed by the prevailing law and other details prescribed by Nepal Rastra Bank to be included in the audit report,
(i) Other suggestions the auditor deems necessary to give.

(4) After receiving the auditor's report, if deemed necessary, Nepal Rastra Bank may order the auditor of the bank or financial institution to do the following additional work:

(a) Submit additional information deemed necessary by Nepal Rastra Bank regarding the audit,
(b) Further broaden the scope of the audit of the transactions of the bank or financial institution or its subsidiary company,
(c) Conduct other checks on a specific matter as prescribed by Nepal Rastra Bank or as recommended to the bank or financial institution.

Provided that an infrastructure development bank and a bank or financial institution shall not merge, amalgamate or acquire with each other.

(3) Notwithstanding anything contained elsewhere in this Chapter, if, from the inspection and supervision report of Nepal Rastra Bank, a bank or financial institution is found to be in any of the following conditions, Nepal Rastra Bank may, stating the reason, order such bank or financial institution to merge or amalgamate its assets, liabilities and business with another bank or financial institution:

(a) Capital fund is inadequate or financial condition has been deteriorating for the past three years,
(b) It has done or is in a condition that adversely affects the interest of depositors and the liability towards depositors,
(c) It is necessary for the stability, development and promotion of the financial system and to enhance competitiveness at the national and international levels.

(4) Notwithstanding anything contained elsewhere in this Chapter, if, from the inspection and supervision report of Nepal Rastra Bank, a bank or financial institution is found to be in any of the following conditions, Nepal Rastra Bank may, stating the reason, issue necessary directives or suggestions for the acquisition of or by the bank or financial institution:

(a) More than one bank or financial institution of persons, firms, companies of the same group are operating and maintaining unhealthy financial relations,
(b) It appears that the interests of depositors, general shareholders, and other customers cannot be protected due to the negative impact of operating the bank or financial institution in its existing state,
(c) Systemic risk is increasing and licensed institutions are not able to pay their liabilities,
(d) Shares have not been issued to the general public within the stipulated time, issued shares have not been sold or distributed, or the prescribed minimum proportional paid-up capital has not been achieved,
(e) The institution has been subject to prompt corrective action three times or more, or the governance condition has weakened due to frequent disputes in the board of directors of the licensed institution.

(5) When ordering a bank or financial institution to merge, amalgamate or acquire pursuant to sub-section (3) or (4), Nepal Rastra Bank may also prescribe the procedure thereof. 70.

Application to be made for merger, amalgamation or acquisition: (1) If a bank or financial institution wishes to merge into or amalgamate with another bank or financial institution, two or more banks or financial institutions desiring to merge or amalgamate shall, after making decisions from their respective boards of directors, jointly submit an application to Nepal Rastra Bank for in-principle approval, mentioning the following matters: (a) The necessity and justification for the merger or amalgamation, and a general projection of its impact on the banking and financial sector and the financial system, (b) The audited balance sheet, profit and loss account and cash flow statement of the merging or amalgamating banks or financial institutions for the latest fiscal year, along with the auditor's report including financial statements such as net assets, (c) Arrangements made to safeguard the interests of creditors of the merging or amalgamating banks or financial institutions, (d) True details of the movable and immovable assets and liabilities of the merging banks or financial institutions, including repayment periods, (e) Details of the management of employees of the merging or amalgamating banks or financial institutions, (f) Approval process under the prevailing company and securities laws for the purpose of merger or amalgamation, (g) Preliminary agreement made by the institutions regarding the merger or amalgamation, (h) Other matters prescribed by Nepal Rastra Bank. (2) If a bank or financial institution wishes to acquire another bank or financial institution, the two or more concerned banks or financial institutions shall, after making decisions from their respective boards of directors based on a special resolution of their respective general meetings, jointly submit an application to Nepal Rastra Bank for in-principle approval, mentioning the following matters: (a) The necessity and justification for the acquisition, and a general projection of its impact on the banking and financial sector and the financial system, (b) The audited balance sheet, profit and loss account and cash flow statement of the acquiring institution and the target institution for the latest fiscal year, along with the auditor's report including financial statements such as net assets, (c) Details of the management of employees of the acquiring institution and the target institution, (d) Approval process under the prevailing company and securities laws, (e) Preliminary agreement made regarding the acquisition, (f) Other matters as prescribed by Nepal Rastra Bank. (3) Upon receiving an application under sub-section (1) or (2), Nepal Rastra Bank shall conduct necessary inquiries, and in the course of such inquiries, Nepal Rastra Bank may hold discussions with the applicant and also request additional documents as necessary. (4) If, from the inquiries made under sub-section (3), Nepal Rastra Bank is satisfied that the merger, amalgamation or acquisition will not have any negative impact on the development of the national banking and financial system, fair competition, and compliance with prevailing law, it may grant in-principle approval to such banks or financial institutions to proceed with the merger, amalgamation or acquisition process, and while granting such approval, Nepal Rastra Bank may also impose conditions or issue directives.

71. Provisions relating to valuation of assets and liabilities: (1) After obtaining in-principle approval for merger or amalgamation pursuant to section 70, such banks or financial institutions shall, by mutual agreement, appoint a valuer from among persons, firms, companies or institutions eligible at least to audit the bank, to evaluate their respective assets, liabilities and business, and shall inform Nepal Rastra Bank thereof. Provided that such valuation may be done by the banks or financial institutions before submitting the application to Nepal Rastra Bank.

(2) After obtaining in-principle approval for acquisition pursuant to section 70, the target institution shall cause the valuation of its assets, liabilities and business for the latest period to be done by an auditor appointed by its general meeting or by the board of directors under the authority of the general meeting.

(3) The acquiring institution may cause a detailed valuation of the assets and liabilities of the target institution to be done.

(4) If the work of the valuer appointed under sub-section (1) or (2) appears unreliable, Nepal Rastra Bank

may order the concerned bank or financial institution to remove him/her and appoint another valuer.

(5) The service and facilities of the valuer shall be determined by the concerned bank or financial institution.

(6) The valuer shall value the assets, liabilities, net assets and overall business in accordance with established standards, basis and methods relating thereto.

(7) Nepal Rastra Bank may issue necessary directives regarding the method, basis and scope of valuation of assets and liabilities. 72.

Provisions relating to agreement: Except where ordered by Nepal Rastra Bank under this Act, banks or financial institutions that have received in-principle approval for merger, amalgamation or acquisition shall enter into an agreement regarding the merger, amalgamation or acquisition, mentioning the following matters: (a) Provisions relating to protection of the interests of depositors, creditors and shareholders, (b) Valuation method and settlement arrangements for the assets and liabilities of the bank or financial institution, (c) Management of investments and transactions, details of inter-institutional ownership and inter-institutional transactions, details of guarantees or sureties, management of non-banking transactions, proper management of assets and liabilities, (d) Details of the merger, amalgamation or acquisition process, time required and cost, (e) Operating and management structure and list of directors, (f) Provisions for harmonizing levels and service facilities of employees of the banks or financial institutions that have received in-principle approval for merger, amalgamation or acquisition, or of the acquiring and target institutions, (g) Details of shareholders having substantial ownership and other shareholders, (h) If merging or amalgamating to form a new bank or financial institution, the name, memorandum and articles of association, capital structure, restructuring and class of such institution, (i) In the case of a foreign bank or financial institution, the consent letter of the relevant regulatory body, (j) In the case of a foreign bank or financial institution, if it is to acquire the business of a bank or financial institution located in Nepal or to sell its entire business in Nepal, that matter, (k) Grievance management system for stakeholders, (l) The prevailing law and the procedure to be followed for compliance, (m) Other necessary details prescribed by Nepal Rastra Bank. 73.

Provisions relating to approval: (1) Banks or financial institutions that have received in-principle approval to proceed with the merger, amalgamation or acquisition process shall, after passing a special resolution from their respective general meetings, jointly submit an application to Nepal Rastra Bank for final approval of the merger, amalgamation or acquisition, attaching the agreement under section 72. (2) While conducting necessary inquiries upon the application under sub-section (1), if it is deemed necessary to request further information or documents from such bank or financial institution, Nepal Rastra Bank may request further information or documents. (3) When conducting inquiries under sub-sections (1) and (2), Nepal Rastra Bank may grant final approval for the merger, amalgamation or acquisition of banks or financial institutions, imposing conditions or limits, after examining the environment for healthy competition in the financial sector, whether a monopoly or restrictive practice of any bank or financial institution may arise, the likely serious impact on the overall banking and financial structure, financial market and savers, and also conducting a fit and proper test of founders who will have substantial ownership in the merged entity. (4) If it is not deemed appropriate to grant approval under sub-section (3), Nepal Rastra Bank shall, stating the reason, inform the concerned bank or financial institution within forty-five days. (5) If institutions that have received approval under sub-section (3) face difficulty in complying with the provisions of this Act and directives issued by Nepal Rastra Bank solely because of the merger or acquisition, Nepal Rastra Bank may grant exemptions as prescribed, based on necessity and justification. (6) Other provisions relating to merger, amalgamation or acquisition shall be as prescribed by Nepal Rastra Bank. 74. Business may be acquired: With prior approval of Nepal Rastra Bank, any branch office of a bank or financial institution, or any of its assets and business, may be acquired or transferred to another bank or financial institution by mutual agreement. Chapter-11 Voluntary Liquidation of Bank or Financial Institution 75.

Voluntary liquidation of bank or financial institution: (1) A bank or financial institution wishing to go into voluntary liquidation shall submit an application to Nepal Rastra Bank along with a plan for voluntary liquidation. (2) Upon examining the application submitted under sub-section (1), if Nepal Rastra Bank is satisfied that such bank or financial institution, or the branch or office of a foreign bank or financial institution in Nepal, is capable of fully paying its debts and liabilities, Nepal Rastra Bank may grant in-principle approval for voluntary liquidation, with conditions. (3) A bank or financial institution obtaining in-principle approval under sub-section (2) shall perform the following acts: (a) Register that information with the Office of the Company Registrar within seven days of the date of obtaining in-principle approval, (b) Send notice thereof to all depositors, creditors or concerned persons through a fast, efficient and reliable means within thirty days of the date of obtaining in-principle approval, (c) Publish a notice thereof in a national daily newspaper within thirty days of the date of obtaining in-principle approval, (d) Perform other acts as prescribed by Nepal Rastra Bank. 76.

Commencement of voluntary liquidation: (1) From the date Nepal Rastra Bank gives final approval for voluntary liquidation, the voluntary liquidation proceedings of the bank or financial institution shall be deemed to have commenced. (2) A bank or financial institution that has obtained in-principle approval for voluntary liquidation under section 75 shall complete the following acts before obtaining final approval for voluntary liquidation from Nepal Rastra Bank: (a) All deposits and liabilities must have been repaid or fulfilled within the prescribed time, (b) Operations must be ceased and no new transactions undertaken, (c) No other powers shall be exercised except those essential for the voluntary liquidation. (3) In the course of performing acts under sub-section (2), Nepal Rastra Bank may issue necessary directives. (4) If a person entitled to receive payment of amounts or other liabilities under clause (a) of sub-section (2) does not come to receive payment within the prescribed time, such amount shall be deposited in an account as directed by Nepal Rastra Bank. (5) The approval given for voluntary liquidation shall not adversely affect the interests of the depositors and other creditors of such bank or financial institution. (6) After the completion of the proceedings under this Act of a bank or financial institution that has gone into voluntary liquidation, such bank or financial institution shall submit the audit report thereof to Nepal Rastra Bank. (7) Nepal Rastra Bank shall grant final approval for voluntary liquidation to a bank or financial institution that completes the acts under this section. Nepal Rastra Bank shall revoke the license of such bank or financial institution to conduct banking and financial transactions. (8) A bank or financial institution that has gone into voluntary liquidation shall set aside the amount payable as deposits for which no claim has been immediately made, as directed by Nepal Rastra Bank. 77. Liability not affected: The dissolution of a bank or financial institution under this Chapter shall not affect the liability of any shareholder, director, chief executive, officer, employee or other person of such bank or financial institution under this Act or other prevailing law. Chapter-12 Compulsory Liquidation of Bank or Financial Institution 78.

May file petition in court for compulsory liquidation: (1) Nepal Rastra Bank may file a petition in court to initiate compulsory liquidation proceedings of any bank or financial institution under this Chapter, and notice of such petition for proceedings shall be published in a national daily newspaper. (2) Along with the petition filed before the court to initiate liquidation proceedings of a bank or financial institution under sub-section (1), Nepal Rastra Bank shall attach the following documents: (a) Details stating the reason for the existence of a condition under section 79 for compulsory liquidation of the bank or financial institution, and (b) The financial statements of the bank or financial institution. (3) Notwithstanding anything contained in sub-section (1), any of the following persons may, with prior approval of Nepal Rastra Bank, file a petition in court for liquidation, stating the grounds for the existence of a condition under section 79 that may lead to compulsory liquidation of the bank or financial institution: (a) A collective application by depositors representing more than twenty-five percent of the deposit amount payable or more than one percent of depositors who do not receive payment when demanding payment of payable deposit amount, or (b) A person competent to file a petition for compulsory liquidation under the prevailing insolvency law. (4) (?) To carry out essential regular functions of operation and management of a bank or financial institution, (?) To do or cause to be done all work required to be performed by or in the name of the bank or financial institution, (?) To appoint employees to assist in the performance of its work, (?) To incur necessary expenses for the operation, management, and liquidation of the bank or financial institution, (?) To coordinate with the institution established pursuant to the prevailing law for deposit protection, (?) To exercise all powers exercised by the shareholders, general meeting, board of directors, and office bearers of the bank or financial institution, (?) To examine and investigate the business and financial condition of the bank or financial institution, (?) With the approval of Nepal Rastra Bank, to merge or transfer all or part of the assets and liabilities of the bank or financial institution to another bank or financial institution, (?) To obtain loans by securing the property of the bank or financial institution, (?) To sell any property or terminate any contract or liability if it appears beneficial to the bank or financial institution to do so, (?) To obtain the services of professional and qualified persons to assist in its work as necessary, (?) To conduct necessary discussions and settlements with any creditor or debtor of the bank or financial institution, (?) To collect, preserve, sell, and distribute the property of the bank or financial institution in accordance with this Act, (?) To investigate whether any director, office bearer, employee, or any person has acted to defraud, cheat, or deceive the bank or financial institution, depositors, or creditors, and to initiate necessary legal action against such persons, or to institute or defend any case or legal action on behalf of the bank or financial institution, (?) To recover any property of the bank or financial institution that has been used by someone, or to initiate legal action to recover such property or amounts from void transactions, (?) To prepare a report on the actions taken regarding liquidation in the format prescribed by Nepal Rastra Bank every three months and submit it to the court and Nepal Rastra Bank, (?) To do or cause to be done all other work necessary for liquidating a bank or financial institution, (?) To perform other functions as specified by Nepal Rastra Bank. (4) If any obstacle arises while exercising any power or performing any duty under this Chapter, the Liquidator may submit a petition to the court for the resolution thereof. (5) If the reasons mentioned in the petition filed pursuant to sub-section (4) appear reasonable, the court may issue an appropriate order.

83. Effect of Order Relating to Liquidation: (1) Where a court has ordered the commencement of compulsory liquidation proceedings of a bank or financial institution, the following matters shall be as follows from such order:

(a) If any limitation period under the prevailing law regarding any claim or right of the bank or financial institution has expired, such limitation period for such claim or right shall be automatically extended for six months from the date of the court order to commence liquidation proceedings of such bank or financial institution.

(b) Except as provided in clause (c), if the property or assets of the bank or financial institution are attached in any manner, or if there is collateral in respect of loans taken by the bank or financial institution, such attachment or collateral shall be automatically released.

(c) The business of accepting deposits and granting loans of the bank or financial institution shall automatically cease.

(d) Court proceedings pending in any court against the bank or financial institution shall be automatically stayed, and no court proceeding against such bank or financial institution may be initiated unless the court orders otherwise. Provided that, if any case is pending in the Supreme Court concerning such bank or financial institution, or if it is necessary to obtain necessary clearance from the Supreme Court, Nepal Rastra Bank shall submit a petition to that court.

(e) No interest or any other kind of additional charge shall accrue on the liability of the bank or financial institution.

(f) Transfer, mortgage, or entry and deletion of shares of such bank or financial institution shall not be permitted.

Provided that transfer, mortgage, or entry and deletion may be made with the prior approval of Nepal Rastra Bank.

(2) If the Liquidator, in any manner, becomes aware that any act done six months prior to the date of the court order to commence compulsory liquidation has caused damage or loss to the interests of the depositors and creditors of such bank or financial institution, the Liquidator shall submit a petition to the court regarding such matter and also inform Nepal Rastra Bank thereof.

(3) If, upon examining the petition submitted by the Liquidator pursuant to sub-section (2), the court finds that any of the following acts have occurred, it may declare such acts invalid and void:

(a) If a decision to grant a gift has been made,

(b) If an act has been done that harms or damages the rights and interests of depositors or creditors,

(c) If payment or transfer was made before the due date for repayment of a loan, or if the release, transfer, or entry and deletion of collateral occurred before the maturity of the loan,

(d) If a contract is found to have been entered into in the course of any transaction that imposes additional liability on the bank or financial institution beyond what is normal or customary,

(e) If any agreement or transaction is found to have been entered into with arrangements different from the regular banking and financial transactions permissible under this Act,

(f) If a contract has been made to employ a related person.

(4) If any bank or financial institution has undergone compulsory liquidation, the following transactions shall be void:

(a) Preferential transactions made within six months before the commencement of compulsory liquidation proceedings or within six months after the commencement of such proceedings,

(b) Preferential transactions with related persons made within one year before the commencement of compulsory liquidation proceedings or within one year after the commencement of such proceedings,

(c) Any transaction made at an undervalue within one year before the commencement of compulsory liquidation proceedings or within one year after the commencement of such proceedings, as a result of which the bank or financial institution underwent compulsory liquidation, or other transactions made at an undervalue after the commencement of compulsory liquidation proceedings,

(d) Fraudulent transactions made within two years before the commencement of compulsory liquidation proceedings or within two years after the commencement of such proceedings.

(5) To have the transactions referred to in sub-section (4) declared void, the Liquidator shall file a petition in the court.

(6) If the court is satisfied that any transaction is void, the court may issue the following orders:

(a) Ordering the concerned person to pay to the Liquidator the whole or part of the amount paid by the bank or financial institution in relation to such transaction,

(b) Ordering the concerned person to deliver to the Liquidator the property so transacted or its equivalent value,

(c) Ordering the complete or partial discharge or release of a loan taken by the bank or financial institution through such transaction, or the security or guarantee given by the bank or financial institution for such loan,

(d) Ordering that any remission, assignment, or agreement entered into between the bank or financial institution and another person as a result of the void transaction shall be void, ineffective, or unenforceable,

(e) If any further order is necessary to implement an order under this sub-section, the court shall also issue such order.

(7) If any act under sub-section (3) or (4) has caused any loss or damage to the bank or financial institution due to the action of any director, office bearer, employee, or other person, such loss or damage shall be personally borne by them.

84. Inventory of Assets and Liabilities: (1) The Liquidator shall, without delay, prepare an inventory of the assets, liabilities, or contingent liabilities of the bank or financial institution that has undergone compulsory liquidation under this Act, submit one copy to Nepal Rastra Bank, and keep one copy at the concerned bank or financial institution.

(2) The inventory referred to in sub-section (1) shall include the following details:

(a) Liability towards depositors and creditors of the bank or financial institution,

(b) Details of all assets and all types of liabilities of the bank or financial institution and their estimated value,

(c) Contracts entered into by the bank or financial institution for receiving services,

(d) Significant transactions made by the bank or financial institution within the period of six months preceding the order for compulsory liquidation.

(3) The Liquidator shall update the inventory referred to in sub-section (1) on a quarterly basis and shall make it available for inspection by creditors upon request. 85. Power to Terminate Transactions: (1) The Liquidator may, within six months from the date of the court order to commence compulsory liquidation proceedings of a bank or financial institution, terminate the following transactions of such bank or financial institution:

(a) Any employment contract made by the bank or financial institution,

(b) Any contract made for services to which the bank or financial institution is a party,

(c) All functions and contracts entered into by the bank or financial institution in its capacity as a trustee,

(d) Any regular operations of the bank or financial institution or its branch offices as per necessity and circumstances,

(e) Any liability undertaken by the bank or financial institution without any limit,

(f) Other operations as specified by Nepal Rastra Bank.

(2) In respect of any transaction terminated under sub-section (1), no person shall be entitled to claim any additional amount or compensation of any kind other than the liability of the bank or financial institution to pay, deliver, or bear up to the date of such termination. 86.

Notice for Filing Claims: The Liquidator shall, within the timeframe specified by Nepal Rastra Bank, publish notice as follows for persons having any kind of claim against a bank or financial institution that has undergone compulsory liquidation under this Act to submit details of their claim and the means of receiving the amount they may be entitled to within one month from the date of the final publication or broadcast of the notice under this section: (a) Publish the notice in at least one national daily newspaper in Nepali language and one in English language, (b) Post the notice in a conspicuous place at the main place of business of the bank or financial institution and at each of its offices. 87. Liquidator May Accept or Reject Claims: (1) Within ninety days of receiving a claim under Section 86, the Liquidator shall, after making necessary inquiries, accept or reject such claim in whole or in part based on the evidence received, inform the claimant thereof, and also publish a public notice to that effect. (2) A claimant whose claim has been partially accepted or rejected under sub-section (1) shall, within fifteen days of receiving such information, resubmit the claim including any additional evidence they may have. (3) If it appears necessary to make any amendment to a claim submitted under sub-section (2), the Liquidator may amend it in part or in full. (4) If any person is aggrieved by the decision of the Liquidator under sub-section (1) or (3), such claimant may appeal to the court within twenty-one days from the date of receiving notice of such decision. 88. Classification of Claims: (1) The Liquidator shall categorize the claims accepted, partially accepted, or rejected under Section 87 under separate headings accordingly. (2) A claim partially accepted under sub-section (1) shall be included in the list of accepted claims to the extent accepted and the remainder in the list of rejected claims. (3) While preparing the list of claims, the name, address, place of payment, date, amount, and details of whether there is any security securing the claim shall be clearly mentioned. (4) If there is a dispute regarding any claim, such claim shall be kept in the list of disputed claims until a decision is made on it. (5) Claims that are accepted but whose value is not determined shall be listed by the Liquidator under a list he specifies. (6) Claims of secured creditors shall be classified separately. (7) Accepted claims shall be listed in the order of priority of payment under this Act. 89.

Meeting of Creditors: (1) Creditors of a bank or financial institution for which compulsory liquidation proceedings have commenced may form a meeting of creditors for mutual discussion and agreement. (2) Subject to the conditions and directions prescribed by Nepal Rastra Bank, the Liquidator of a bank or financial institution undergoing compulsory liquidation may, as necessary, hold negotiations and reach agreements with the creditors and debtors of such bank or financial institution. 90. Liquidation Plan: (1) Within thirty days of the completion of the classification of claims under Section 88, the Liquidator shall prepare a detailed plan for the liquidation process of such bank or financial institution, submit it to the court for approval, and inform Nepal Rastra Bank thereof. (2) The liquidation plan submitted under sub-section (1) shall include the following matters: (a) Detailed description, nature, and implication of the assets or liabilities of the bank or financial institution, (b) Details of the past and projected income and expenditure of the bank or financial institution, (c) Detailed information regarding continuing or terminating the current financial operations of the bank or financial institution, (d) Decisions or orders made by the court, (e) Details of actions taken to claim compensation for offences or other illegal acts committed by directors, office bearers, or employees of the bank or financial institution, (f) Detailed information including classification of claims and payment priority, (g) Plan for sale and liquidation of the main assets or groups of assets of the bank or financial institution, (h) Schedule of liabilities of the bank or financial institution and potential payments to be made to depositors and creditors within the next ninety days, (i) Costs and expenses of the compulsory liquidation, (j) Other details as specified by Nepal Rastra Bank. (3) The Liquidator shall update the liquidation plan referred to in sub-section (1) on a quarterly basis. (4) After the liquidation plan is approved by the court, it shall be made available for inspection to the creditors of the bank or financial institution whose claims are mentioned in the plan. (5) Notwithstanding anything contained elsewhere in this Act, a bank or financial institution that has undergone compulsory liquidation shall not be recapitalized by investing in it in whole or in part. 91. Immediate Advance to Depositors: (1) Notwithstanding anything contained elsewhere in this Chapter, the Liquidator may, by way of advance, distribute up to a maximum of one hundred thousand rupees per account to the depositors of a bank or financial institution undergoing compulsory liquidation, subject to adjustment at the time of distribution of deposit. (2) The advance given under sub-section (1) shall be adjusted at the time of payment under Section 94. 92.

Power to Sell Assets: Subject to the directions given by Nepal Rastra Bank, the Liquidator may sell or cause to be sold by auction all assets of a bank or financial institution undergoing compulsory liquidation, including assets provided as security for accepted claims of creditors, as follows: (a) Securities, foreign currency, or other easily marketable assets at the place of transaction, (b) Permitting creditors holding collateral to sell securities, foreign currency, or other assets given as loan security that are easily marketable, by the creditors themselves, (c) Selling assets by any other means if the Liquidator is of the opinion that a reasonable price cannot be obtained by auction, (d) Making other arrangements as specified by Nepal Rastra Bank. 93. Notice of Settlement of Claims: The Liquidator shall, for settling claims according to the liquidation plan under Section 90, publish and broadcast a public notice stating the nature, quantum, and payment priority of the claims. 94. Priority of Payment: (1) A bank or financial institution that has undergone compulsory liquidation shall pay its liabilities in the following order of priority: (a) Expenses incurred for the compulsory liquidation, (b) The amount of deposit insurance coverage as per the prevailing law, up to the limit of the total accepted claim amount of the depositor, or an amount equivalent to such amount if it has been paid to the deposit insurance institution established under the law on deposit amount, (c) The remaining deposit after payment under clause (b), (d) Amounts payable as salary, allowances, and other liabilities to the employees of the bank or financial institution, (e) Amounts payable to the Government of Nepal, local bodies, or Nepal Rastra Bank, (f) Amounts payable as fees or assessments due to other banks or financial institutions, (g) Amounts payable to other creditors or for other claims, (h) Shareholders as per the prevailing law. (2) Notwithstanding anything contained elsewhere in this Chapter, if, during sale and distribution under Section 94, a creditor applies to accept any unsold asset in satisfaction of the amount receivable by him from the bank or financial institution, the Liquidator may transfer such asset to such creditor, subject to the criteria for valuation determined by Nepal Rastra Bank. (3) Notwithstanding anything contained elsewhere in this Chapter, if any asset is held as security for secured creditors, such asset shall be used only to satisfy their liabilities. 95.

Unclaimed Goods or Amounts: If a person does not come to collect his amount or goods within the specified time after notice under this Chapter for collection of his amount or goods according to the details of claims or liabilities, such goods or amounts shall be kept in the custody of the Liquidator or another agency as directed by Nepal Rastra Bank. 96. Decision of Liquidation: (1) For the liquidation of a bank or financial institution that is under compulsory liquidation under this Chapter and whose license has been cancelled by Nepal Rastra

Bank, the Liquidator shall, after completing the liquidation work, submit a petition to the court along with details of such work. (2) If the Liquidator petitions the court under sub-section (1), the court may, after making necessary inquiries, decide that such bank or financial institution has been compulsorily liquidated. (3) The Liquidator shall publish the decision given by the court under sub-section (2) at least once each in one national daily newspaper in Nepali language and one in English language, and shall also mention the main subject matter of the court order and the liquidation report in such publication. (4) After the notice is published under sub-section (3), the Liquidator shall request the Company Registrar to remove the name of such bank or financial institution from the register of companies, and the Company Registrar shall accordingly publish a notice in the Nepal Gazette that the name of such bank or financial institution has been removed from the company register. (5) After the notice of removal of the name of the liquidated bank or financial institution under sub-section (4) is published in the Nepal Gazette, the compulsory liquidation proceedings of such bank or financial institution shall terminate, and such bank or financial institution shall be deemed to have been duly dissolved. (6) The compulsory liquidation of a bank or financial institution shall not affect any liability of any director, chief executive, office bearer, employee, shareholder, or other person of such bank or financial institution under this Act or the prevailing law. 97. Compulsory Liquidation of Banks or Financial Institutions Operating in More Than One Country: The process of compulsory liquidation of a branch of a bank or financial institution operating in more than one country shall be as determined by Nepal Rastra Bank having regard to international practices. Provided that the compulsory liquidation of a bank or financial institution operating as a subsidiary of a bank or financial institution operating in more than one country shall be in accordance with this Chapter. 98.

Provided that this shall not affect the depositor's right to the amount in his account by reason of no claim having been filed on it. Chapter 13

Provisions Relating to Actions, Offences and Penalties

99. Power to Take Regulatory Action: (1) A bank or financial institution that violates this Act or the Nepal Rastra Bank Act or the rules, regulations, directions, or orders issued thereunder may, depending on the nature and seriousness of the violation, be subject to one or more of the following actions by Nepal Rastra Bank:

(a) Issue a warning or written caution,

(b) Require the board of directors to sign an undertaking to take corrective measures,

(c) Issue a written order not to violate this Act or the Nepal Rastra Bank Act or the rules, regulations, directions, or orders issued thereunder, or to take corrective measures,

(d) Prohibit the distribution of dividends or issuance of bonus shares by the bank or financial institution to its shareholders, or restrict the distribution of dividends or issuance of bonus shares,

(e) Set limits on or prohibit the acceptance of deposits or granting of loans by the bank or financial institution,

(f) Impose a partial or full restriction on the transactions of the bank or financial institution.

(2) Nepal Rastra Bank may suspend or cancel the license to conduct banking and financial transactions granted to a bank or financial institution in the following circumstances:

(a) If it fails to commence banking and financial transactions within six months from the date of obtaining the license,

(b) If it ceases banking and financial transactions without the approval of Nepal Rastra Bank,

(c) If it conducts banking and financial transactions contrary to the interests of depositors, or fails or is unable to repay demand deposits or deposits that have matured when demanded,

(d) If it violates or fails to comply with the Nepal Rastra Bank Act, this Act, or the rules, regulations, directions, orders, or conditions specified by Nepal Rastra Bank,

(e) If the bank or financial institution is found to have obtained the license by submitting false details,

(f) If it fails to provide deposit protection as per the prevailing law.

(3) If any founder, shareholder, director, chief executive, office bearer, employee, or any other concerned person of a bank or financial institution violates this Act or the Nepal Rastra Bank Act or the rules, regulations, directions, or orders issued thereunder, Nepal Rastra Bank may, depending on the nature and seriousness of the violation, take one or more of the following actions:

(a) Confiscate and attach the shares of such bank or financial institution held by such person and direct the board of directors to sell such shares to other persons,

(b) Direct the board of directors to withhold or suspend some or all facilities, including meeting allowance, monthly remuneration, of the board of directors, directors, office bearers, and other employees of the bank or financial institution,

(c) If it is found, from the inspection or monitoring of Nepal Rastra Bank, that the chairman, director, chief executive officer, or any person acting as chief executive, or employee of the bank or financial institution has not acted in the interest of the depositors, shareholders, and the licensed institution, remove such person from office by giving written notice,

Provided that, while taking action under this clause, such person shall be given a period of three to fifteen days to submit a defense against the allegation made against him.

Such person shall not be entitled to any compensation upon retirement or facilities provided in the employee regulations and shall be deemed ineligible to be appointed in any bank or financial institution licensed by Nepal Rastra Bank for a period of five years.

(d) While taking action under clause (c), if the director, office bearer, or other employee subject to such action does not receive the notice of action or, having received the notice, does not submit an explanation, Nepal Rastra Bank may give information about the action taken through a public notice,

(e) If any bank or financial institution has taken or been given salaries, allowances, and other facilities contrary to this Act or abnormally, recover the entire amount of such service facilities together with interest as per the prevailing law from the person giving such service facilities,

(f) Order the concerned bank or financial institution to write to the professional body with which the director, office bearer, or employee of the bank or financial institution is associated, for action.

(4) If it appears that the amount payable by a bank or financial institution is payable due to the negligence or bad faith of any director, office bearer, or employee, Nepal Rastra Bank may order that such amount be recovered from such director, office bearer, or employee.

(5) Within thirty-five days from the date of receiving notice of an order given under sub-section (4), such

director, office bearer, or employee shall personally pay or deposit such amount.

(6) If not paid or deposited within the period under sub-section (5), it shall be recovered as a government due from the account in any bank or financial institution in the name of such director, office bearer, or employee or his family, or from any movable or immovable property of such person or his family.

(7) If Nepal Rastra Bank, while performing regulation, inspection, supervision, or any other work under this section, publishes or broadcasts a notice publicly, the cost incurred in publishing or broadcasting such notice shall be borne by such bank or financial institution. 100.

Power to Impose Penalty: (1) A bank or financial institution that fails to provide information required to be given, or fails to submit documents and details required to be submitted within the specified time, or fails to make available documents, details, data, or records requested by Nepal Rastra Bank or any official deputed by it for monitoring, inspection, or supervision within the specified period, in accordance with this Act or the Nepal Rastra Bank Act or the rules, regulations, directions, or orders issued thereunder, may be subject to a penalty by Nepal Rastra Bank as follows: (a) Up to two weeks after the deadline, one hundred thousand rupees per day, (b) Up to one month after the deadline, one hundred and twenty-five thousand rupees per day, (c) After the period in clause (b), at any time, one hundred and fifty thousand rupees per day. (2) If any founder, shareholder, director, chief executive, office bearer, employee, or any other concerned person of a bank or financial institution violates this Act or the Nepal Rastra Bank Act or the rules, regulations, directions, or orders or conditions issued thereunder, or fails to implement a direction given by Nepal Rastra Bank under clause (b) of sub-section (3) of Section 99, Nepal Rastra Bank may, depending on the nature and seriousness of the violation, impose a penalty of up to ten lakh rupees. (3) If the amount of penalty imposed under sub-section (1) is not paid to Nepal Rastra Bank by the bank or financial institution within three days from the date of receiving notice of the decision, it shall be recovered by deducting from the amount in the account opened by such bank or financial institution with Nepal Rastra Bank. (4) The cash penalty received by Nepal Rastra Bank under sub-sections (1) and (2) shall be deposited into the Government Fund. 101.

Procedure for Action: (1) Unless otherwise provided in this Act, while taking action under Section 99 or imposing a penalty under Section 100, Nepal Rastra Bank shall adopt the following procedure: (a) Before taking proposed action or imposing a penalty, a written notice shall be given to the accused bank or financial institution or person, specifying the nature of the act committed, a brief description thereof, and the amount of penalty or proposed action that may be imposed accordingly, and granting a period of seven days to submit a defense, (b) The concerned bank or financial institution or person shall submit its defense in writing within seven days from the date of receiving the written notice under clause (a), (c) If the written defense submitted under clause (b) appears reasonable, Nepal Rastra Bank may amend, limit, or drop such accusation, (d) If the written defense submitted under clause (b) does not appear satisfactory, Nepal Rastra Bank shall take action under Section 99 or impose a penalty under Section 100 against such bank or financial institution or person. (2) The other procedures to be adopted while taking action or imposing a penalty by Nepal Rastra Bank under this Act shall be as prescribed by Nepal Rastra Bank. 102.

Taking Over of Licensed Institution: (1) Notwithstanding anything contained elsewhere in this Act, if Nepal Rastra Bank is convinced that a licensed institution has violated this Act or the Nepal Rastra Bank Act or the rules or regulations made thereunder or any order or direction issued thereunder, or that from the inspection and supervision report of Nepal Rastra Bank, the licensed institution has failed or is likely to fail to fulfill its obligations, or that the bank or financial institution is not operating properly, or that it has acted against the interests of shareholders or depositors, Nepal Rastra Bank may suspend the board of directors of such licensed institution for a maximum of three years and take such licensed institution under its control. (2) After taking a licensed institution under its control under sub-section (1), Nepal Rastra Bank may manage such licensed institution itself or by appointing any suitable person, firm, company, or institution. (3) Nepal Rastra Bank shall, within one year of managing or causing to be managed such institution itself or through any other person, firm, company, or institution under sub-section (2), conduct or cause to be conducted a financial and management examination of the concerned licensed institution and publish the report publicly. (4) If, from the report under sub-section (3), Nepal Rastra Bank is convinced that the concerned licensed institution is capable of fulfilling its obligations by itself or has reached a state of proper operation, Nepal Rastra Bank may do as follows: (a) Revoke the suspension of the board of directors of the licensed institution made under sub-section (1) and again entrust the management of the institution to the same board of directors, or (b) Dismiss the suspended board of directors of the licensed institution under sub-section (1), form a new board of directors from among the shareholders of the licensed institution, and entrust the management of the institution to it, or (c) Convene a general meeting of the licensed institution, form a new board of directors from that meeting, and entrust the management of the institution to it, or (d) Initiate any other action deemed appropriate by Nepal Rastra Bank. (5) If, from the report under sub-section (3), Nepal Rastra Bank is convinced that the concerned licensed institution is unable to fulfill its obligations by itself or has reached a state where it cannot operate properly, Nepal Rastra Bank may take either of the following two actions concerning such licensed institution: (a) Commence compulsory liquidation proceedings in accordance with the provisions of Chapter 12 of this Act, or (b) Proceed with a rehabilitation action under the Nepal Rastra Bank Act. (6) Before taking a licensed institution under its control under sub-section (1), Nepal Rastra Bank shall give the concerned licensed institution an opportunity to submit its defense, granting a period of up to fifteen days as per the situation. (7) All expenses incurred by Nepal Rastra Bank for the work done after taking a licensed institution under its control under this section shall be borne by the concerned licensed institution. (8) Nepal Rastra Bank shall inform the Government of Nepal, Ministry of Finance, about taking a licensed institution under its control under sub-section (1).

103. Offences: (1) If any person does any of the following acts contrary to this Act or the rules, regulations, directions, orders, or conditions or limits issued under this Act, he shall be deemed to have committed an offence under this Act:

(a) Conducting banking and financial transactions without obtaining a license,

(b) Obtaining a license for banking and financial transactions by providing false or incorrect details,

(c) Conducting banking and financial transactions contrary to the terms and conditions of the license for such transactions,

(d) Engaging in foreign exchange transactions without a license,

(e) Providing credit or making other investments contrary to this Act,

(f) Committing irregularities while providing credit, valuing collateral, recovering loans, or in any related work, or conducting a fraudulent valuation while taking collateral, auctioning property held as collateral, or acquiring and selling non-banking assets,

(g) Committing irregularities by any director, office bearer, employee, or other person during merger, acquisition, liquidation, or audit,

(h) Attempting to commit or in any way aiding the commission of an offence under clauses (a) to (ch).

(2) A director, office bearer, or employee holding office at the time of the commission of an offence under sub-section (1), or any other person aiding in the offence, shall be deemed to have committed such offence himself, unless it is proved that such offence was committed without his consent or that he made every possible effort to prevent such offence.

(3) If any office bearer or employee of a branch of a foreign bank transfers any asset of such branch to another country, approves such transfer, authorizes such transfer, or does any act that facilitates or amounts to such transfer, except in the ordinary course of business of the branch, he shall be deemed to have committed an offence under this Act. 104.

Punishment: (1) A person committing the following offences shall be punished as follows: (a) For an offence under clause (a) of sub-section (1) of Section 103, confiscation of the proceeds, a fine of up to three times the proceeds, and imprisonment for up to five years, (b) For an offence under clause (b) of sub-section (1) of Section 103, if there is proceeds, confiscation thereof, a fine of up to twice the proceeds, and imprisonment for up to two years, (c) For an offence under clause (d), (e), (f), or (g) of sub-section (1) of Section 103, if there is proceeds, confiscation thereof, a fine equal to the proceeds, and imprisonment for up to one year, (d) For an offence under clause (h) of sub-section (1) of Section 103, if there is proceeds, confiscation thereof, and half the punishment applicable to the main person. (2) For the purpose of sub-section (1), while determining the proceeds, the entire amount involved in the transaction shall be considered. (3) When imposing a fine under clauses (a) to (d) of sub-section (1), if the proceeds are known, the fine shall be according to such proceeds; if the proceeds are not known, the fine shall be from ten lakh rupees to fifty lakh rupees. (4) A person committing an offence under sub-section (3) of Section 103 shall be liable to a fine according to the proceeds and imprisonment for up to five years. (5) If an offence under Section 103 is committed by a firm, company, or institution, the concerned director, office bearer, employee, or related person of such firm, company, or institution shall be punished under this section; and if such concerned person cannot be ascertained, the head of such firm, company, or institution shall be punished accordingly. (6) If a person committing an offence under Section 103 is found to have kept or hidden property in his own name, the name of his family, relatives, or any other person, such amount and the property acquired from it shall also be confiscated. 105. Appeal: (1) A bank or financial institution or its director, office bearer, shareholder, or employee who is aggrieved by an action taken under Section 99 or a penalty imposed under Section 100 by Nepal Rastra Bank may appeal to the court within thirty-five days from the date of receiving the order of such action. Provided that, when a shareholder appeals against (2) The notice to take the amount pursuant to Sub-section (1) shall be published by the bank or financial institution in a national daily newspaper once every five years.

The bank or financial institution shall also keep the detailed particulars thereof on its website. (3) If the amount pursuant to Sub-section (1) is not claimed or taken within twenty years, such amount shall be deposited in the Banking Development Fund of Nepal Rastra Bank and used for banking development. 113. Deposit may be set off or forfeited: If the deposit amount kept in a bank or financial institution has been deposited from a loan transaction conducted by keeping collateral or guarantee, or from an amount misappropriated from the treasury of the Government of Nepal or an entity owned by the Government of Nepal, or from the amount of loss or damage of an offence under the prevailing law, or from collection made from terrorist, banking, financial offence or organized offence related activities, then such collateral or guarantee, or the amount of the misappropriated treasury may be set off or forfeited from such deposit in accordance with the prevailing law. 114. To be recovered from director: If any director is found to have taken any amount or goods for personal benefit in the course of the business of the bank or financial institution, the bank or financial institution shall recover such amount or goods from such director. 115. Not entitled to make claim: If any person, knowingly or having sufficient reason to believe that a director is about to engage in any transaction for his/her personal interest or to cause loss or damage to the bank or financial institution, still conducts any transaction with such director or his/her representative, such person shall not be entitled to make any claim against the bank or financial institution in respect of such transaction. 116. Government of Nepal to be plaintiff: (1) A case relating to an offence referred to in Section 103 shall be filed with the Government of Nepal as plaintiff, and such case shall be deemed to be included in Schedule-1 of the prevailing Government Cases Act. (2) Any person may file a complaint, in writing or orally, with evidence, at the nearest police office against any director, office bearer, employee, debtor or any other person committing an offence under Section 103. While filing such complaint, it shall not be necessary to mention the name. (3) Nepal Rastra Bank shall provide necessary assistance in all matters such as investigation, inquiry, filing of the case and prosecution of an offence under Section 103. 117.

Provision relating to transparency: (1) A bank or financial institution or a branch of a foreign bank or financial institution shall publish a periodic report on its financial condition and risk status at least every three months for transparency relating to transactions. (2) The minimum matters to be included in the report pursuant to Sub-section (1) shall be as prescribed by Nepal Rastra Bank. 118. Provision relating to consumer interest protection: For the purpose of protecting consumer interest, Nepal Rastra Bank may perform the following functions:- (?) To ensure that licensed banks or financial institutions are conducting their financial transactions in accordance with law and providing financial services to consumers in a transparent and fair manner, (?) To coordinate on matters of consumer interest protection in the financial sector, (?) To collect necessary information to bring improvement in consumer interest protection in the banking sector and to bring financial literacy. 119. Exemption and facility: (1) No instrument of mortgage of movable or immovable property up to a maximum of ten lakh rupees provided by a bank or financial institution to a Nepali citizen or an entity established under the prevailing law for agriculture, cottage and small industries, irrigation, hydropower generation or any other business prescribed by the Government of Nepal shall require registration. (2) The term of loan and deposit shall be as determined by the bank or financial institution. (3) No revenue stamp fee shall be levied on any instrument relating to a bank or financial institution. 120. Expense management: Nepal Rastra Bank may give necessary directives regarding the preliminary, establishment, administrative, business, management and other expenses of a bank or financial institution. 121. Asset details to be submitted: Every director, office bearer and chief executive of a bank or financial institution shall prepare and submit to the concerned bank, within sixty days of the end of each fiscal year, a statement of all movable and immovable assets and liabilities held in his/her own name and in the name of his/her family members, and shall inform Nepal Rastra Bank thereof. While submitting such statement, the source of income shall also be disclosed. 122.

Loan, liability and interest in collateral may be sold or purchased: Notwithstanding anything contained in the prevailing Nepal law, unless otherwise provided in the loan agreement, the loan given by a bank or financial institution to any person, or the liability accepted by it, and the interest in the movable or immovable property received or given as collateral for the security thereof, may be sold or purchased. 123. Settlement of disputes: (1) If any dispute arises between banks or financial institutions, such dispute shall be settled by mutual agreement. (2) If the dispute cannot be settled by mutual agreement pursuant to Sub-section (1), Nepal Rastra Bank shall settle the dispute by adopting a mediation process or other dispute resolution measures under the prevailing law. (3) The decision made by Nepal Rastra Bank pursuant to Sub-section (2) shall be final. 124. Not to be held liable for acts done in good faith: (1) No office bearer or employee of Nepal Rastra Bank, a bank or a financial institution shall be held personally or collectively liable for any act done in good faith in accordance with this Act, the Nepal Rastra Bank Act, or the rules, regulations, orders or directives made thereunder. (2) If any suit is filed against Nepal Rastra Bank, a bank or a financial institution or its office bearer in relation to any loss or damage caused or likely to be caused by anything done or attempted to be done in good faith in the course of complying with this Act, the Nepal Rastra Bank Act, or the rules, regulations, orders or directives made thereunder, the expenses of such suit shall be borne by the concerned institution. Provided that, the concerned person shall be liable for any act done out of malice, negligence or bad faith, and the expenses of any suit filed in relation to such matter shall not be borne by Nepal Rastra Bank or the bank or financial institution. 125. Acts not to be invalidated: No act done by a director or the board of directors shall be invalidated merely by reason of any irregularity in the appointment of a director or the formation of the board of directors of a bank or financial institution, or by reason of the vacancy in the office of any director. 126.

Study committee and sub-committee may be formed: (1) Nepal Rastra Bank may form an expert study committee consisting of representatives and experts from Nepal Rastra Bank, banks or financial institutions and concerned bodies to study and submit a report on the overall aspects of banking and financial law, loan recovery, stability of the financial sector and contemporary reform of the financial system. (2) Nepal Rastra Bank may form sub-committees as necessary for the purpose of Sub-section (1). (3) The functions, duties, powers and facilities of the study committee pursuant to Sub-section (1) or the sub-committee pursuant to Sub-section (2) shall be as prescribed by Nepal Rastra Bank. 127. Taking oath: (1) Every director, office bearer, chief executive or employee appointed in a bank or financial institution shall, before commencing the responsibilities of his/her office, take an oath of office and secrecy in the format prescribed in the Schedule. (2) The oath pursuant to Sub-section (1) shall be taken by the Chairperson before Nepal Rastra Bank, by the directors and chief executive before the Chairperson, and by other office bearers and employees before the chief executive or an office bearer designated by him/her. 128. Amendment of memorandum and articles of association: Notwithstanding anything contained in the prevailing law, any amendment to the memorandum and articles of association of a bank or financial institution shall not be effective until approved by Nepal Rastra Bank. 129. To be in accordance with this Act: (1) Matters written in this Act, or in the rules, regulations, procedures made under this Act, or in the orders or directives given under this Act or the rules made under this Act, shall be as so provided, and other matters shall be in accordance with the Nepal Rastra Bank Act and other prevailing laws. (2) The regulation, inspection and supervision, and liquidation related work of banks or financial institutions established under this Act shall be in accordance with the Nepal Rastra Bank Act. 130. Removal of difficulties: (1) If any difficulty arises in implementing any provision of this Act, Nepal Rastra Bank may, with the approval of the Government of Nepal, issue necessary orders to remove such difficulty. (2) While issuing an order to remove difficulties pursuant to Sub-section (1), the reason and justification for doing so shall also be mentioned. 131. May issue orders or directives: Nepal Rastra Bank may issue orders or directives to banks or financial institutions as necessary, subject to this Act or the rules or regulations made under this Act. 132.

May make rules or regulations: (1) For the implementation of this Act, Nepal Rastra Bank may issue and enforce rules or regulations as necessary on any matters it deems necessary. (2) Rules made by Nepal Rastra Bank pursuant to Sub-section (1) shall be effective only after approval by the Government of Nepal. 133. Power to make by-laws and procedures: (1) Subject to the conditions, limits and standards prescribed by Nepal Rastra Bank under this Act or the rules made under this Act, the board of directors of a bank or financial institution may, with the approval of Nepal Rastra Bank, make by-laws on the following matters for the systematic conduct of institutional, administrative and business transactions:- (?) In relation to appointment, promotion, transfer, dismissal, salary, allowance, gratuity, pension, leave, conduct, discipline and terms of service of employees and the formation of such service, (?) In relation to the financial administration of the bank or financial institution, (?) In relation to loan write-off, (?) In relation to other matters prescribed by Nepal Rastra Bank from time to time. (2) Apart from the matters referred to in Sub-section (1), a bank or financial institution may make procedures as necessary on the following matters:- (?) In relation to the procedure for meetings of the board of directors and general meetings, (?) In relation to the delegation of authority by the board of directors to directors, chief executive, office bearers or employees, (?) In relation to the terms of contracts made on behalf of the bank or financial institution, (?) In relation to the procedure for the use of the seal of the bank or financial institution, (?) In relation to the valuation of collateral security to be kept while granting loans or non-banking assets to be sold by auction, (?) In relation to other acts to be performed by the bank or financial institution under this Act, (?) In relation to document shredding, (?) In relation to other matters prescribed by Nepal Rastra Bank from time to time. 134. Repeal and saving: (1) The Banks and Financial Institutions Act, 2063 is hereby repealed. (2) All acts done under the Act repealed pursuant to Sub-section (1) shall be deemed to have been done under this Act.